

California Private Postsecondary Education Act of 2009

July 1, 2025

California Private Postsecondary Education Act of 2009

(As amended July 1, 2025)

Statutes of 2009, Chapter 310. (AB 48)
Statutes of 2010, Chapter 695. (SB 294)
Statutes of 2010, Chapter 719. (SB 856)
Statutes of 2011, Chapter 103. (AB 611)
Statutes of 2011, Chapter 167. (AB 1013)
Statutes of 2011, Chapter 309. (SB 619)
Statutes of 2012, Chapter 281. (SB 1395)
Statutes of 2012, Chapter 585. (AB 2296)
Statutes of 2013, Chapter 28. (SB 71)
Statutes of 2014, Chapter 176. (AB 834)
Statutes of 2014, Chapter 840. (SB 1247)
Statutes of 2015, Chapter 22. (SB 81)
Statutes of 2015, Chapter 258. (SB 410)
Statutes of 2015, Chapter 303. (AB 731)
Statutes of 2015, Chapter 558. (AB 509)
Statutes of 2015, Chapter 560. (AB 752)
Statutes of 2016, Chapter 593. (SB 1192)
Statutes of 2017, Chapter 260. (AB 868)
Statutes of 2018, Chapter 422. (SB 1492)
Statutes of 2018, Chapter 671. (AB 1858)
Statutes of 2018, Chapter 901. (SB 1348)
Statutes of 2019, Chapter 519. (AB 1340)
Statutes of 2019, Chapter 520. (AB 1344)
Statutes of 2019, Chapter 521. (AB 1346)
Statutes of 2020, Chapter 153. (AB 70)
Statutes of 2021, Chapter 367. (SB 607)
Statutes of 2021, Chapter 552. (SB 802)
Statutes of 2022, Chapter 544. (SB 1433)
Statutes of 2023, Chapter 510. (SB 887)
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ARTICLE 1. General Provisions

Article 1 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94800. Citation

This chapter shall be known, and may be cited, as the California Private Postsecondary Education Act of 2009.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94800.5. References

Whenever a reference is made to the former Private Postsecondary Education and Student Protection Act, the former Private Postsecondary and Vocational Education Reform Act of 1989, or the former Chapter 7 (commencing with Section 94700) of Part 59 of Division 10 of Title 3 of the Education Code, as it read on June 30, 2007, by the provisions of any statute or regulation, it shall be construed as referring to the provisions of this chapter. Whenever a reference is made to the former Bureau for Private Postsecondary and Vocational Education by the provisions of any statute or regulation, it shall be construed as referring to the Bureau for Private Postsecondary Education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94801. Findings and Declarations

(a) In 2013, more than 300,000 Californians attended more than 1,100 private postsecondary schools in California.

(b) Private postsecondary schools can complement the public education system and help develop a trained workforce to meet the demands of California businesses and the economy; however, concerns about the value of degrees and diplomas issued by private postsecondary schools, and the lack of protections for private postsecondary school students and consumers of those schools' services, have highlighted the need for strong state-level oversight of private postsecondary schools.

(c) Numerous reports and studies have concluded that California's previous attempts at regulatory oversight of private postsecondary schools under the Department of Consumer Affairs have consistently failed to ensure student protections or provide effective oversight of private postsecondary schools.

(d) It is the intent of the Legislature in continuing the operation of this chapter for two years until January 1, 2017, to ensure all of the following:

(1) Minimum educational quality standards and opportunities for success for California students attending private postsecondary schools in California.

(2) Meaningful student protections through essential avenues of recourse for students.

(3) A regulatory structure that provides for an appropriate level of oversight.

(4) A regulatory governance structure that ensures that all stakeholders have a voice and are heard in policymaking by the bureau.

(5) A regulatory governance structure that provides for accountability and oversight by the Legislature through program monitoring and periodic reports.

(6) Prevention of the harm to students and the deception of the public that results from fraudulent or substandard educational programs and degrees.

(e) The Legislature advises future policymakers to continually and carefully evaluate this chapter and its administration and enforcement. Where there are deficiencies in the law or regulatory oversight, the Governor and the Legislature should act quickly to correct them.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840 §1. (SB 1247)

94801.5. Out-of-State Institution Registration

(a) An out-of-state private postsecondary educational institution shall register with the bureau, pay a fee pursuant to Section 94930.5, and comply with all of the following:

(1) The institution shall provide the bureau with all of the following information, as applicable, for consideration of initial registration by the bureau pursuant to paragraph (2).

(A) Evidence of institutional accreditation.

(B) Evidence that the institution is approved to operate in the state where the institution maintains its main administrative location.

(C) The agent for service of process consistent with Section 94943.5.

(D) A copy of the institution's catalog and, if the institution uses enrollment agreements, a copy of a sample enrollment agreement.

(E) Whether or not the institution, or a predecessor institution under substantially the same control or ownership, had its authorization or approval revoked or suspended by a state or by the federal government, or, within five years before submission of the registration, was subject to an enforcement action by a state or by the federal government that resulted in the imposition of limits on enrollment or student aid, or is subject to such an action that is not final and that was ongoing at the time of submission of the registration.

(F) Whether or not the institution, or a controlling officer of, or a controlling interest or controlling investor in, the institution or in the parent entity of the institution, had been subject to any education, consumer protection, unfair business practice, fraud, or related enforcement action by a state or federal agency within five years before submitting the registration. If so, the institution shall provide the bureau a copy of the operative complaint with the registration.

(G) Whether or not the institution is currently on probation, show cause, or subject to other adverse action, or the equivalent thereof, by its accreditor or has had its accreditation revoked or suspended within the five years before submitting the registration.

(H) Whether or not the institution, within five years before submitting the registration, has settled, or been adjudged to have liability for, a civil complaint alleging the institution's failure to provide educational services, including a complaint alleging a violation of Title IX of the federal Education Amendments of 1972 (Public Law 92-318) or a similar state law, or a complaint alleging a violation of a

law concerning consumer protection, unfair business practice, or fraud, filed by a student or former student, an employee or former employee, or a public official, for more than two hundred fifty thousand dollars (\$250,000). The institution shall provide the bureau a copy of the complaint filed by the plaintiff and a copy of the judgment or settlement agreement for any such judgment or settlement, and the bureau shall consider, pursuant to paragraph (2), all material terms and aspects of the settlement, including, for example, whether a student plaintiff remained enrolled or reenrolled at the institution.

(I) Any additional documentation the bureau deems necessary for consideration in the registration process.

(2) When considering whether to approve, deny, or condition initial registration based upon the information provided by an institution pursuant to paragraph (1), the bureau shall do all of the following:

(A) Not consider any individual submission made under paragraph (1) to be solely determinative of the institution's eligibility for registration but, exercising its reasonable discretion, approve, reject, or condition registration based upon a review of all of the information provided to it under paragraph (1).

(B) Provide an institution with reasonable notice and opportunity to comment before the bureau regarding any determination to deny, condition, or reject initial registration before that determination becomes final. After the determination becomes final, the institution may seek review of the bureau's decision through an action brought pursuant to Section 1085 of the Code of Civil Procedure.

(C) Require the initial registration, if approved, to memorialize that the institution agrees, as a condition of its registration, to be bound by this section and that its registration may be rejected, conditioned, or revoked for failure to comply with this section, as provided by subdivision (b). The agreement shall be signed by a responsible officer of the institution.

(3) An institution that is registered with the bureau and enrolls a student residing in California shall report in writing to the bureau, within 30 days, the occurrence of any of the following:

(A) The institution has its authorization or approval revoked or suspended by a state or by the federal government, or has been subject to an enforcement action by a state or by the federal government that resulted in the imposition of limits on enrollment or student aid.

(B) The institution or a controlling officer of, or a controlling interest or controlling investor in, the institution or in the parent entity of the institution is subject to any education, consumer protection, unfair business practice, fraud, or related enforcement action by a state or federal agency. If so, the institution shall provide the bureau a copy of the operative complaint.

(C) The institution is currently on probation, show cause, or subject to other adverse action, or the equivalent thereof, by its accreditor or the accreditation of the institution is revoked or suspended.

(D) The institution settles, or is adjudged to have liability for, a civil complaint alleging the institution's failure to provide educational services, including a complaint alleging a violation of Title IX of the federal Education Amendments of 1972 (Public Law 92-318) or a similar state law, or a complaint alleging a violation of a law concerning consumer protection, unfair business practice, or fraud, filed by a student or former student, an employee or former employee, or a public official, for more than two hundred fifty thousand dollars (\$250,000). The institution shall provide to the bureau a copy of the complaint filed by the plaintiff and a copy of the judgment or settlement agreement for any such judgment or settlement, and the bureau shall consider, pursuant to subdivision (b), all material terms and aspects of

the settlement, including, for example, whether a student plaintiff remained enrolled or reenrolled at the institution.

(4) The requirements of the Student Tuition Recovery Fund, established in Article 14 (commencing with Section 94923), and regulations adopted by the bureau related to the fund, for its students residing in California.

(5) The institution shall provide disclosures pursuant to the requirements for the Student Tuition Recovery Fund, established in Article 14 (commencing with Section 94923), and regulations adopted by the bureau related to the fund, for its students residing in California.

(b) (1) Upon receipt of any of the notifications in paragraph (3) of subdivision (a), the bureau shall, within 30 days of receiving the notice, request the institution to explain in writing why the institution should be permitted to continue to enroll California residents. If the bureau, after reviewing the information submitted in response to the request and after consultation with the Attorney General, issues a written finding that there is no immediate risk to California residents from the institution continuing to enroll new students, the institution shall be permitted, pending completion of a review by the bureau, to continue to enroll new students or the bureau may, in its discretion, limit enrollments.

(2) Any institution under review pursuant to paragraph (1) may have its registration revoked by the bureau if, after further review, the bureau issues a written finding that there is a substantial risk posed to California residents by the institution continuing to enroll California residents.

(3) An institution shall have the right to reasonable notice and opportunity to comment to and before the bureau regarding any determination to revoke registration or to limit enrollment before that determination becomes final. An institution may seek review of a bureau order limiting new student enrollment or revoking registration under this subdivision through an action brought pursuant to Section 1085 of the Code of Civil Procedure.

(4) Nothing in this subdivision shall be construed as preventing the bureau from revoking an institution's registration on any other grounds specified in this chapter. Nothing in this section shall be construed as prohibiting or impairing the ability of an institution registered pursuant to this section or eligible to register pursuant to this section from applying to be an approved institution pursuant to this chapter.

(c)(1) This section does not apply to a higher education institution that grants undergraduate degrees, graduate degrees, or both, and that is either formed as a nonprofit corporation and is accredited by an agency recognized by the United States Department of Education, or is a public institution of higher education.

(2) This section does not apply to a higher education institution that does not award degrees and that solely provides educational programs for total charges of two thousand five hundred dollars (\$2,500) or less when no part of the total charges is paid from state or federal student financial aid programs. The bureau may adjust this charge threshold based upon the California Consumer Price Index and post notification of the adjusted charge threshold on its internet website as the bureau determines, through the promulgation of regulations, that the adjustment is consistent with the intent of this chapter.

(d) An institution described in subdivision (a) that fails to comply with this section is not authorized to operate in this state. Any institution whose registration is denied or revoked is authorized to reapply for registration after 12 months have elapsed from the date of the denial or revocation of registration.

(e) A registration with the bureau pursuant to this section shall be valid for five years.

(f) The bureau shall develop through emergency regulations effective on and after July 1, 2021, a registration form. The adoption of these regulations shall be deemed to be an emergency and necessary for the immediate preservation of the public peace, health and safety, or general welfare for purposes of Sections 11346.1 and 11349.6 of the Government Code. These emergency regulations shall become law through the regular rulemaking process by January 1, 2022.

(g) The bureau shall disclose on its internet website a list of institutions registered pursuant to this section through reasonable means and disclose a designated email address for California residents to send a complaint to the bureau about an institution registered pursuant to this section. Complaints received through this email address shall be investigated in the same manner as complaints received by the bureau for institutions approved to operate pursuant to this chapter, but bureau enforcement in response to such complaints against institutions registered pursuant to this section shall be governed by subdivision (b).

(h) This section shall become operative on July 1, 2022.

Amended by Stats. 2019, Ch. 520, §2. (AB 1344)

Amended by Stats 2020, Ch. 153, §2. (AB 70)

Amended by Stats. 2022, Ch 544, §1. (SB 1433)

94801.7. Establishment of California-based activity thresholds for limited physical presence

(a) The bureau may establish through regulation thresholds of California-based activity that constitute limited physical presence, with those institutions subject to registration requirements defined through regulation, and minimal levels of California-based activity that do not require institutional approval by, nor registration with, the bureau. All institutions operating in the state and subject to approval or registration requirements shall comply with Section 94897.

(b) An institution is considered to have a physical presence in the state if it offers instruction or core academic support services from a physical location owned, operated, or rented by or on behalf of the institution in California.

Added by Stats. 2022, Ch. 544, §2. (SB 1433)

ARTICLE 2. Transition Provisions

Article 2 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94802. Continuance of Former Approvals

An institution that had a valid approval to operate on June 30, 2007, issued by the former Bureau for Private Postsecondary and Vocational Education pursuant to former Chapter 7 (commencing with Section 94700) of Part 59 of Division 10 of Title 3 of the Education Code, as it read on June 30, 2007, shall maintain that approval under this chapter. For the purposes of this chapter, the approval to operate shall be valid for three calendar years after the expiration date of the approval, as it read on June 30, 2007.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §2. (SB 1247)

94803. Emergency Regulations

The bureau shall, by emergency regulation, amend, and repeal as necessary, the regulations, as they read on June 30, 2007, in Division 7.5 (commencing with Section 70000) of Title 5 of the California Code of Regulations, to conform to this chapter no later than February 1, 2010. These emergency regulations shall become permanent through the regular rulemaking process within one year of the enactment of this chapter.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94804. Matters Before Former BPPVE

(a) Each unresolved matter submitted to the former Bureau for Private Postsecondary and Vocational Education prior to July 1, 2007, shall be deemed to remain pending before the bureau irrespective of any applicable deadlines. With respect to any deadline applicable to a pending matter, no time shall be deemed to have elapsed from July 1, 2007, to January 1, 2010, inclusive.

(1) For the purposes of this subdivision, "matter" includes, but is not limited to, an appeal, a complaint, a claim, an evaluation, a hearing, or an investigation.

(2) For the purposes of this subdivision, "matter" does not include a Student Tuition Recovery Fund claim.

(b) Student complaints submitted from July 1, 2007, to December 31, 2009, inclusive, shall continue to be duly recorded and investigated by the bureau.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94805. Transfer of Property

For the performance of the duties and exercise of the powers vested in the bureau, the bureau shall have possession and control of all records, papers, offices, equipment, supplies, or other property, real or personal, held for the benefit or use by the former Bureau for Private Postsecondary and Vocational Education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94806. Transfer of Operation Fund

The Private Postsecondary and Vocational Education Administration Fund established by former Section 94932 of the Education Code, and extended by Chapter 635 of the Statutes of 2007, is continued in existence, and is renamed the Private Postsecondary Education Administration Fund.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94807. Transfer of Student Tuition Recovery Fund

The Student Tuition Recovery Fund established by former Section 94944 of the Education Code, and extended by Chapter 635 of the Statutes of 2007, is continued in existence.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94808. Prior STRF Claims

(a) Any Student Tuition Recovery Fund claims received by the former Bureau for Private Postsecondary and Vocational Education prior to July 1, 2007, that were not processed by the former Bureau for Private Postsecondary and Vocational Education and were not paid by the Department of Consumer Affairs from July 1, 2007, to June 30, 2008, inclusive, shall be processed by the bureau.

(b) Any Student Tuition Recovery Fund claims received by the Department of Consumer Affairs from July 1, 2007, to December 31, 2009, inclusive, shall be processed by the bureau.

(c) Student Tuition Recovery Fund claims filed with, and approved by, the former Bureau for Private Postsecondary and Vocational Education as of June 30, 2007, if not already paid, shall be paid before any claims approved after that date.

(d) The student's right to recovery from the Student Tuition Recovery Fund shall be based on the law that was in effect when the student enrolled and a fee for the fund was charged as a part of tuition costs, even though that law has become inoperative, been repealed, or otherwise expired.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94809. Unapproved Schools

(a) An institution that had an application for an approval to operate pending with the former Bureau for Private Postsecondary and Vocational Education on June 30, 2007, may continue to operate until a decision is made in regard to the institution regarding the application for approval to operate, but shall comply with, and is subject to, this chapter.

(b) An institution that did not have a valid approval to operate issued by, and did not have an application for approval to operate pending with, the former Bureau for Private Postsecondary and Vocational Education on June 30, 2007, that began operations between July 1, 2007, and January 1, 2010, and filed an application to operate by August 2, 2010, may continue to operate unless a denial of approval to operate has been issued and has become final, but shall comply with, and is subject to, this chapter.

(c) Students seeking to enroll in institutions operating under subdivisions (a) and (b) shall be notified by the institution, in writing and prior to executing an enrollment agreement, that the institution's application for approval to operate has not been reviewed by the bureau.

(d) (1) An institution that is denied an approval to operate pursuant to subdivision (a) or (b) may file an appeal pursuant to the procedures established in Section 94888.

(2) An institution that has filed an appeal pursuant to paragraph (1) may continue to operate during the appeal process but must disclose in a written statement approved by the bureau, to all current and prospective students, that the institution's application for approval to operate was denied by the bureau because the bureau determined the application did not satisfy the requirements to operate in California, that the institution is appealing the bureau's decision, and that the loss of the appeal may result in the institution's closure.

(3) If the bureau determines that the continued operation of an institution poses a significant risk of harm to students, the bureau shall make an emergency decision pursuant to Section 94938.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §3. (SB 1247)

Amended by Stats. 2016, Ch. 593, §3. (SB 1192)

94809.5. Statute of Limitations of Former Law

Notwithstanding any other provision of law:

(a) For any claims that a student had based on a violation of the Private Postsecondary and Vocational Education Reform Act of 1989 on or before June 30, 2007, the period of time from June 30, 2007, to December 31, 2009, inclusive, shall be excluded in determining the deadline or the statute of limitation for filing any claim with the bureau or a lawsuit based on any claim.

(b) All claims described in subdivision (a), except claims to the Student Tuition Recovery Fund, including those contained in a lawsuit or other legal action, shall be determined or adjudicated based on the law that was in effect when the violations or events took place, even though those provisions have become inoperative, been repealed, or otherwise expired.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94809.6. Civil Claims Based on Former Law

(a) Notwithstanding the inoperative status or repeal of the former Private Postsecondary and Vocational Education Reform Act of 1989 on or after July 1, 2007, any claim or cause of action in any manner based on the act that was commenced on or before June 30, 2007, whether or not reduced to a final judgment, shall be preserved, and any remedy that was or could have been ordered to redress a violation of the act on or before June 30, 2007, may be ordered or maintained thereafter. If a final judgment was obtained in an action commenced on or after July 1, 2007, under the authority of Chapter 635 of the Statutes of 2007, the final judgment and any legal remedy that was or could be maintained on or after July 1, 2007, under that statute, shall be preserved and maintained thereafter.

(b) The rights, obligations, claims, causes of action, and remedies described in subdivision (a) shall be determined by the provisions of the former Private Postsecondary and Vocational Education Reform Act of 1989 in effect on or before June 30, 2007, notwithstanding the inoperative status or repeal of the former Private Postsecondary and Vocational Education Reform Act of 1989 on or after July 1, 2007.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 3. Definitions

Article 3 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94810. Applicability of Definitions

Unless the context requires otherwise, the definitions set forth in this article govern the construction of this chapter.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94812. Academic Year

“Academic year” means a period, including a minimum of 30 weeks of instructional time, in which a full-time student attending an institution that measures educational program length in credit hours completes 24 semester or trimester hours or 36 quarter hours, or an institution that measures educational program length in clock hours completes at least 900 clock hours.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94813. Accredited

“Accredited” means an institution is accredited by an accrediting agency recognized by the United States Department of Education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §4. (SB 1247)

94814. Accrediting Agency

“Accrediting agency” is an agency recognized by the United States Department of Education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94815. Annual Report

“Annual report” means the yearly report required to be filed by institutions.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94816. Applicant

“Applicant” means a person, as defined in Section 94855, who has submitted an application to the bureau for an approval to operate or for a renewal of an approval to operate. An approval to operate shall be issued only to an applicant.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §5. (SB 1247)

Amended by Stats. 2024, Ch. 497, §78. (SB 1526)

94817. Approval to Operate or Approval

“Approval to operate” or “approval” means the authorization pursuant to this chapter to offer to the public and to provide postsecondary educational programs, as well as the written document issued to an institution signifying its approval to operate.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94817.5. Approved to Operate or Approved

“Approved to operate” or “approved” means that an institution has received authorization pursuant to this chapter to offer to the public and to provide postsecondary educational programs.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94818. Avocational Education

“Avocational education” means education offered for the purpose of personal entertainment, pleasure, or enjoyment.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94819. Branch Campus

“Branch campus” means a site other than the main campus or a satellite location.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94820. Bureau

“Bureau” means the Bureau for Private Postsecondary Education in the Department of Consumer Affairs.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94821. Change in Business Organization Form

“Change in business organization form” means a change of a business organization’s original form, including, for example, a situation in which a sole proprietorship becomes a partnership or corporation, or when a business organization becomes a nonprofit public benefit corporation or forms a nonprofit public benefit corporation as a subsidiary to provide the educational programs for which the business organization has an approval to operate.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94822. Change in Control

“Change in control” means a change in the ownership of an institution in which a person who previously did not own at least 25 percent of the stock or interest in the institution or its parent company acquires ownership of at least 25 percent of the stock or interest in the institution or its parent company.

“Change in control” does not include an ownership change between family members involving less than 51 percent of the stock or interest in the institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94823. Change in Ownership

“Change in ownership” means the acquisition by a person of more than 50 percent of an interest in or stock of a parent company.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94823.5. Change of Location

“Change of location” means a move or relocation more than 10 miles from the site at which the institution offers instruction.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94824. Class Day

“Class day” means a day a student is scheduled to attend a class session, or for students receiving instruction through distance education, any calendar day except Saturday, Sunday, or any holiday enumerated in Section 6700 of the Government Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94825. Class Session

“Class session” means part of a class day that an institution conducts instruction in a particular subject.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94826. Commence Operations

“Commence operations” means an institution has begun to provide educational programs.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94827. Continuing Education

“Continuing education” means instruction that does not lead to a degree in subjects that licensees are required to take solely for the purpose of continued licensure, or to enhance the licensee’s skills and knowledge within their particular profession, occupation, trade, or career field.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats 2021, Ch. 552, §1 (SB 802)

94828. Curriculum

“Curriculum” means an organized set of courses or modules of instruction that are prerequisites to the award of a degree or diploma.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94829. Default

“Default” means failure of a borrower and endorser, if any, to make an installment payment for a loan received under the federal student financial aid programs when due, or to meet other terms of the promissory note, provided that this failure persists for 270 days if payment is due monthly or 360 days if payment is due less frequently. For purposes of this section, “endorser” means an individual who signs a promissory note and agrees to repay the loan in the event that the borrower does not.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840 §6. (SB 1247)

94830. Degree

“Degree” means a recognized educational credential awarded by an institution that signifies satisfactory completion of the requirements of a postsecondary educational program at the associate’s level or above.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94831. Degree Title

“Degree title” means the designated subject area of the educational program that appears on the face of the document awarded to a student.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94832. Diploma

“Diploma” means a recognized educational credential, other than a degree, awarded by an institution that signifies satisfactory completion of the requirements of a postsecondary educational program below the associate’s level. A diploma is also known as a certificate.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94833. Director

“Director” means the Director of Consumer Affairs.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94834. Distance Education

“Distance education” means transmission of instruction to students at a location separate from the institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94835. Document of Record

“Document of record” means any document required to be maintained by this chapter.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94836. Educational Materials

“Educational materials” means textbooks, supplies, implements, tools, machinery, computers, electronic devices, or other goods related to any education, training, or experience required for participation in an educational program.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94837. Educational Program

“Educational program” means a planned sequence composed of a set of related courses or modules, or a single course or module if not offered as a component of a set of related courses or modules, that provides education, training, skills, or experience, or a combination of these, except that “educational program” does not include a single course, workshop, seminar, continuing education course, or other instruction that consists of 32 hours of instruction or less that is not designed to lead to employment.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §7. (SB 1247)

Amended by Stats. 2021, Ch. 552, §2 (SB 802)

94838. Educational Program Approval

“Educational program approval” means authorization by the bureau, another government agency of this state, or a federal government agency, to provide educational programs, and is an element of an approval to operate.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94839. Enrollment

“Enrollment” means the execution of an enrollment agreement.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94840. Enrollment Agreement

“Enrollment agreement” means a written contract between a student and institution concerning an educational program.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94841. Faculty

“Faculty” means the instructional staff of an institution, whether these persons are employees or independent contractors.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94842. Graduate

“Graduate” means an individual who has been awarded a degree or diploma.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94843. Institution

“Institution” means any private postsecondary educational institution, including its branch campuses and satellite locations.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94844. Institutional Charges

“Institutional charges” means charges for an educational program paid directly to an institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94845. Institution Manager

“Institution manager” means an individual who is a member of an institution’s management.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94846. Instruction

“Instruction” means an institution’s specific, formal arrangements in which its faculty present a part of the curriculum.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94847. License and Examination Preparation

“License and examination preparation” means instruction designed to assist students to prepare for an examination for licensure. “License and examination preparation” does not include an educational program designed to instruct students in the skills and knowledge necessary to satisfy the qualifications for licensure.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §8. (SB 1247)

94848. Licensure

“Licensure” includes any license, certificate, permit, or similar credential that a person must hold to lawfully engage in a profession, occupation, trade, or career field.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94849. Main Campus

“Main campus” means the institution’s sole or primary teaching location.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94850. Noninstitutional Charges

“Noninstitutional charges” means charges for an educational program paid directly to an entity other than an institution that are specifically required for participation in an educational program.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §79. (SB 1526)

94850.2 Nonprofit Corporation

“Nonprofit corporation” means an institution to which contributions have been determined by the United States Internal Revenue Service to be tax-deductible pursuant to Section 501(c)(3) of Title 26 of the Internal Revenue Code, subject to the limitations described in Section 94874.1.

Added by Stats. 2020, Ch. 153, §3. (AB 70)

94850.5. Out-of-State Private Postsecondary Educational Institution

“Out-of-state private postsecondary educational institution” means a private entity without a physical presence in this state that offers distance education to California students for an institutional charge, regardless of whether the institution has affiliated institutions or institutional locations in California.

Added by Stats. 2016, Ch. 593, §4. (SB 1192)

94851. Owner

“Owner” means an individual in the case of a sole proprietorship, partners in a partnership, members in a limited liability company, or shareholders in a corporation.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94852. Ownership

“Ownership” means a legal or equitable interest in an institution, including ownership of assets or stock.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94853. Parent Company

“Parent company” means a partnership, limited liability company, or corporation that owns more than 50 percent of the stock or interest in an institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94854. Period of Attendance

“Period of attendance” means a semester, quarter, or trimester for educational programs measured in credit hours and the entire educational program if measured in clock hours.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94855. Person

“Person” means a natural person or a business organization, irrespective of its form.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94856. Person in Control

“Person in control” means a person who, by the authority or conduct of their position, directs the management of an institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §80. (SB 1526)

94857. Postsecondary Education

“Postsecondary education” means a formal institutional educational program whose instruction is designed primarily for students who have completed or terminated their secondary education or are beyond the compulsory age of secondary education, including programs whose purpose is academic, vocational, or continuing professional education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2021, Ch. 552, §3. (SB 802)

94858. Private Postsecondary Educational Institution

“Private postsecondary educational institution” means a private entity with a physical presence in this state that offers postsecondary education to the public for an institutional charge.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94858.5 Public Institution of Higher Education

“Public institution of higher education” means any of the following:

(a) An institution that meets the definition of subdivision (a) of Section 66010, including a district or campus of the California Community Colleges.

(b) An institution operated by the United States government, a state, as defined in Section 3306(j)(1) of Title 26 of the United States Code, a local government, as defined in Section 1393(a)(5) of Title 26 of the United States Code, or Indian tribal government, as defined in Section 7701(a)(40) of Title 26 of the United States Code.

(c) An institution that is an instrumentality of a state or local government if it meets all of the following:

(1) The institution’s employees are government employees.

(2) The institution’s liabilities are payable to the same degree as if they were liabilities of the state or local government, in the state or local government jurisdiction where the institution is formed.

(3) The institution is subject to the same financial oversight and open public records laws as the state or local government, in the state or local government jurisdiction where the institution is formed.

Added by Stats 2020, Ch. 153, §4. (AB 70)

94859. Recruiter

“Recruiter” means an employee of an institution whose principal job responsibilities are the recruitment of students other than on the institution’s premises.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94860. Recruitment

“Recruitment” means actions taken by recruiters seeking enrollment of students.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94861. Reporting Period

“Reporting period” means the institution’s fiscal year or any yearly period designated by the bureau to be covered in the institution’s annual report.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94862. Satellite Location

“Satellite location” means an auxiliary classroom or teaching site within 50 miles of the branch or main location.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94865. Site

“Site” means a main or branch campus or satellite location.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94866. Teach-Out

“Teach-out” means the arrangements an institution makes for its students to complete their educational programs when the institution ceases to operate.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94867. Third-Party Payer

“Third-party payer” means an employer, government program, or other entity that pays a student’s total charges when no separate agreement for the repayment of the charges exists between the third-party payer and the student.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94868. To Offer to the Public

“To offer to the public” means to advertise, publicize, solicit, or recruit.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94869. To Operate

“To operate” means to establish, keep, or maintain any facility or location in this state where, or from which, or through which, postsecondary educational programs are provided, or to enroll California residents in postsecondary educational programs in an institution based outside of the state via distance education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats 2022, Ch. 544, §3 (SB 1433)

94870. Total Charges

“Total charges” means the sum of institutional and noninstitutional charges.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94871. Year

“Year” means a calendar year.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 4. Exemptions

Article 4 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94874. Categories of Exempt Institutions

Except as provided in Sections 94874.2, 94874.7, and 94927.5, the following are exempt from this chapter:

- (a) An institution that offers solely avocational or recreational educational programs.
- (b) (1) An institution only offering educational programs to members of a bona fide trade, business, professional, or fraternal organization that is separate and distinct from the institution and that sponsors the educational programs. An institution that sponsors an educational program directly or through an affiliated division or corporate entity of the institution and that requires student membership for purposes of those educational programs does not qualify under this exemption.
- (2) (A) Except as provided in subparagraph (B), a bona fide organization, association, or council that offers pre-apprenticeship training programs, on behalf of one or more Division of Apprenticeship Standards-approved labor-management apprenticeship programs that satisfies one of the following conditions:
 - (i) It is not on the Eligible Training Provider List established and maintained by the California Workforce Development Board but has met the requirements for placement on the list.
 - (ii) It is on the Eligible Training Provider List established and maintained by the California Workforce Development Board and meets the requirements for continued listing.
- (B) If an organization, association, or council has been removed from the Eligible Training Provider List established and maintained by the California Workforce Development Board for failure to meet performance standards, it is not exempt until it meets all applicable performance standards.
- (c) A postsecondary educational institution established, operated, and governed by the federal government or by this state or its political subdivisions.
- (d) An institution offering either of the following:
 - (1) Test preparation for examinations required for admission to a postsecondary educational institution.
 - (2) Continuing education or license examination preparation, if the institution or the program is approved, certified, or sponsored by any of the following:
 - (A) A government agency, other than the bureau, that licenses persons in a particular profession, occupation, trade, or career field.
 - (B) A state-recognized professional licensing body, such as the State Bar of California, that licenses persons in a particular profession, occupation, trade, or career field.
 - (C) A bona fide trade, business, or professional organization.
- (e) (1) An institution owned, controlled, and operated and maintained by a religious organization lawfully operating as a nonprofit religious corporation pursuant to Part 4 (commencing with Section 9110) of Division 2 of Title 1 of the Corporations Code, that meets all of the following requirements:
 - (A) The instruction is limited to the principles of that religious organization, or to courses offered pursuant to Section 2789 of the Business and Professions Code.
 - (B) The diploma or degree is limited to evidence of completion of that education.

(2) An institution operating under this subdivision shall offer degrees and diplomas only in the beliefs and practices of the church, religious denomination, or religious organization.

(3) An institution operating under this subdivision shall not award degrees in any area of physical science.

(4) Any degree or diploma granted under this subdivision shall contain on its face, in the written description of the title of the degree being conferred, a reference to the theological or religious aspect of the degree's subject area.

(5) A degree awarded under this subdivision shall reflect the nature of the degree title, such as "associate of religious studies," "bachelor of religious studies," "master of divinity," or "doctor of divinity."

(f) An institution that does not award degrees and that solely provides educational programs for total charges of two thousand five hundred dollars (\$2,500) or less when no part of the total charges is paid from state or federal student financial aid programs. The bureau may adjust this cost threshold based upon the California Consumer Price Index and post notification of the adjusted cost threshold on its internet website as the bureau determines, through the promulgation of regulations, that the adjustment is consistent with the intent of this chapter.

(g) A law school that is accredited by the Council of the Section of Legal Education and Admissions to the Bar of the American Bar Association or a law school or law study program that is subject to the approval, regulation, and oversight of the Committee of Bar Examiners, pursuant to Sections 6046.7 and 6060.7 of the Business and Professions Code.

(h) A nonprofit public benefit corporation that satisfies all of the following criteria:

(1) Is qualified under Section 501(c)(3) of the United States Internal Revenue Code.

(2) Is organized specifically to provide workforce development or rehabilitation services.

(3) Is accredited by an accrediting organization for workforce development or rehabilitation services recognized by the Department of Rehabilitation.

(i) An institution that is accredited by the Accrediting Commission for Senior Colleges and Universities, Western Association of Schools and Colleges, or the Accrediting Commission for Community and Junior Colleges, Western Association of Schools and Colleges.

(j) Flight instruction providers or programs that provide flight instruction pursuant to Federal Aviation Administration regulations and meet both of the following criteria:

(1) The flight instruction provider or program does not require students to enter into written or oral contracts of indebtedness.

(2) The flight instruction provider or program does not require or accept prepayment of instruction-related costs in excess of two thousand five hundred dollars (\$2,500).

(k) (1) An institution owned, controlled, operated, and maintained by a community-based organization, as defined in Section 7801 of Title 20 of the United States Code, as that section exists on March 1, 2017, that satisfies all of the following criteria:

(A) The institution has programs on or is applying for some or all of their programs to be on the Eligible Training Provider List established and maintained by the California Workforce Development Board.

(B) The institution is registered as a nonprofit entity qualified under Section 501(c)(3) of the federal Internal Revenue Code.

(C) The institution does not offer degrees, as defined in Section 94830.

(D) The institution does not offer educational programs designed to lead directly or specifically to positions in a profession, occupation, trade, or career field requiring licensure, if bureau approval is required for the student to be eligible to sit for licensure.

(E) The institution would not otherwise be subject to oversight of the bureau under this chapter if it did not receive funding under the federal Workforce Innovation and Opportunity Act (29 U.S.C. Sec. 3101 et seq.). For purposes of this requirement, funds received through the federal Workforce Innovation and Opportunity Act (29 U.S.C. Sec. 3101 et seq.) do not count towards the total referenced in subdivision (f) or any other fee charge limitation condition for an exemption from this chapter.

(F) The institution can provide a letter from the local workforce development board that demonstrates the institution has met the initial criteria of that board.

(2) An institution granted an exemption pursuant to paragraph (1) shall comply with all of the following requirements:

(A) The institution shall provide to the Employment Development Department all required tracking information and data necessary to comply with performance reporting requirements under the federal Workforce Innovation and Opportunity Act, codified in Chapter 32 (commencing with Section 3101) of Title 29 of the United States Code, for programs on the Eligible Training Provider List.

(B) The institution shall comply with the Eligible Training Provider List policy developed by the California Workforce Development Board.

(C) The institution shall not charge a student who is a recipient of funding under the federal Workforce Innovation and Opportunity Act (29 U.S.C. Sec. 3101 et seq.) any institutional charges, as defined in Section 94844, for attending and participating in the program.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2011, Ch. 309, §1. (SB 619)

Amended by Stats. 2014, Ch. 840, §9. (SB 1247)

Amended by Stats. 2015, Ch. 558, §1. (AB 509)

Amended by Stats. 2016, Ch. 593, §5. (SB 1192)

Amended by Stats. 2017, Ch. 260, §1. (AB 868)

Amended by Stats. 2018, Ch. 422, §5. (SB 1492)

Amended by Stats. 2021, Ch. 552, §4. (SB 802)

94874.1. Nonprofit Exemption

(a) The bureau shall not verify the exemption from this chapter of, or contract for the complaint handling for, a nonprofit institution that operated as a for-profit institution during any period on or after January 1, 2010, unless the Attorney General verifies all of the following:

(1) The nonprofit institution acquired the for-profit institution's assets for no more than the fair value of the assets.

(2) The nonprofit institution has not executed agreements for goods or services exceeding the fair value of the goods or services.

(3) All core functions of the nonprofit institution are conducted by, or under the direction of, the nonprofit institution.

(4) The nonprofit institution has not entered into any contracts, loans, or leases with a term of longer than three years with the former for-profit institution's owners and managers. This paragraph does not apply to a nonprofit institution that previously operated as a for-profit institution that is owned by or controlled by a public institution of higher learning.

(b) An action under subdivision (a) may be appealed to the superior court.

(c) "Fair value" shall be demonstrated through one of the following:

(1) A third-party appraisal based on comparable assets acquired by, or goods or services procured by, nonprofit corporations in similar market conditions.

(2) Independent financing of the acquisition or procurement based upon the asset acquired or goods or services procured.

(3) Full and open competition in the acquisition of the assets or procurement of the goods or services.

(d) Within 90 days of the receipt of all information the Attorney General has determined is necessary for its verification pursuant to subdivision (a), the Attorney General shall notify the institution and the bureau in writing of the Attorney General's verification pursuant to subdivision (a).

(e) This section shall become operative on January 1, 2022.

Added by Stats 2020, Ch. 153, §5. (AB 70)

94874.2. Veterans Education Programs and Exemptions

Beginning January 1, 2016, an institution that is approved to participate in veterans' financial aid programs pursuant to Section 21.4253 of Title 38 of the Code of Federal Regulations that is not an independent institution of higher education, as defined in subdivision (b) of Section 66010, shall not be exempt from this chapter.

Added by Stats. 2014, Ch. 840, § 11. (SB 1247)

Amended by Stats. 2016, Ch. 593, §6. (SB 1192)

94874.5. Limitation to Exemption

An institution that is otherwise exempt from this chapter shall comply with the requirements of Section 94927.5.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §7 (SB 1192)

94874.7. Verification of Exemption

The bureau shall establish, by regulation, a process pursuant to which an institution that is exempt from this chapter may request, and obtain, from the bureau verification that the institution is exempt. The verification shall be valid for a period of up to two years, as long as the institution maintains full compliance with the requirements of the exemption. The bureau shall establish a reasonable fee to reimburse the bureau's costs associated with the implementation of this section.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §8 (SB 1192)

94874.8. Approval of Otherwise Exempt Institutions

(a) An institution exempt from all or part of this chapter pursuant to subdivision (i) of Section 94874 or Section 94874.1 may apply to the bureau for an approval to operate pursuant to this section, but only subject to all of the following provisions:

(1) The bureau may approve the operation of an institution that is exempt from all or part of this chapter as specified above in accordance with the authority granted pursuant to Article 6 (commencing with Section 94885). Upon issuing an approval to operate to an institution pursuant to this section, the bureau is authorized to regulate that institution through the full set of powers granted, and duties imposed, by this chapter, as those powers and duties would apply to an institution that is not exempt from this chapter.

(2) Notwithstanding any other law, upon issuance of an approval to operate pursuant to this section, the institution is no longer eligible for exemption, from the provisions of this chapter pursuant to subdivision (i) of Section 94874 or Section 94874.1, unless authorized by subsequent legislation.

(3) Upon issuance of an approval to operate pursuant to this section, an institution is subject to all provisions of this chapter, and any regulations adopted pursuant to this chapter, that apply to an institution subject to this chapter, except as expressly provided in paragraph (4).

(4) (A) With respect to the placement and salary or wage data required to be collected, calculated, and reported by Article 16 (commencing with Section 94928), an institution issued an approval to operate pursuant to this section is not required to report on its first School Performance Fact Sheet any data from the period prior to the date of the issuance of the approval to operate that the institution was not required to collect and does not have available to it. An institution shall, however, report available data collected and calculated in accordance with this chapter and applicable regulations, regardless of the purpose for which the data was collected. If the required data is unavailable, the institution shall also disclose the unavailability of the data on all documents required by this chapter and regulations adopted pursuant to this chapter. Upon receiving an approval to operate pursuant to this section, an institution shall commence to collect and calculate all information necessary to comply with Article 16 (commencing with Section 94928).

(B) An institution receiving an approval to operate pursuant to this section shall provide to prospective students the School Performance Fact Sheet, file that fact sheet with the bureau, and post it on the institution's internet website no later than the first August 1 after the institution is approved to operate and no later than August 1 of each year thereafter. These School Performance Fact Sheets shall report data for the previous two calendar years based upon the number of students who began the program or the number of graduates for each reported calendar year. If two calendar years have not passed since the issuance of the approval to operate by the August 1 deadline for the School Performance Fact Sheet, unless data for two years is available, the institution shall report the required data for the period subsequent to the date of the issuance of the notice of approval.

(b) An institution exempt from all or part of this chapter pursuant to subdivision (i) of Section 94874 or Section 94874.1 that was approved to operate by the bureau before the effective date of this section shall be deemed to have been approved pursuant to this section.

Added by Stats. 2013, Ch. 28, §1. (SB 71)

Amended by Stats. 2016, Ch. 593, §9. (SB 1192)

Amended by Stats. 2023, Ch. 510, §92 (SB 887)

94874.9. State Authorization Contracts for Review of Complaints

(a) An independent institution of higher education, as defined in Section 66010, that is exempt from this chapter pursuant to subdivision (i) of Section 94874 shall comply with all applicable state and federal laws, including laws relating to fraud, abuse, and false advertising.

(b) An institution described in subdivision (a) may execute a contract with the bureau for the bureau to review and, as appropriate, act on complaints concerning the institution, in accordance with Section 600.9 of Title 34 of the Code of Federal Regulations.

(c) The execution of a contract by the bureau with an institution pursuant to subdivision (b) shall constitute establishment by the state of that institution to offer programs beyond secondary education, including programs leading to a degree or certificate, in accordance with Section 600.9 of Title 34 of the Code of Federal Regulations.

(d) The bureau shall use a standard form contract for purposes of this section.

(e) A contract executed pursuant to this section shall, at a minimum, do all of the following:

(1) Require an institution to do all of the following:

(A) Cooperate with the bureau to resolve complaints received pursuant to this section.

(B) Provide the following disclosure notice in all written and internet-based documentation in which the institution's complaint process is described, including the student catalog, student handbook, and the institution's internet website:

"An individual may contact the Bureau for Private Postsecondary Education for review of a complaint. The bureau may be contacted at (address), Sacramento, CA (ZIP Code), (internet website address), (telephone and fax numbers)."

(C) Designate a person at the institution to act as a liaison to the bureau.

(D) Pay one thousand seventy-six dollars (\$1,076) each year for costs incurred by the bureau to perform activities pursuant to the contract, unless another amount is determined by the bureau.

(2) (A) Authorize the bureau, for any complaint it receives, including any complaints related to the institution's policies or procedures, or both, as determined by the bureau, to refer the complaint to the institution, an accrediting agency, or another appropriate entity for resolution.

(B) The bureau shall notify the complainant and the institution of a referral.

(C) This paragraph shall not be construed to relieve the bureau of its responsibility to ensure that a complaint it has referred for purposes of resolution is resolved by the receiving entity.

(f) The bureau may terminate a contract executed pursuant to this section if an institution is no longer an independent institution of higher education as defined in Section 66010 or fails to comply with the provisions of the contract.

(g) All moneys collected by the bureau that relate to a contract executed pursuant to this section, including payments collected in accordance with subparagraph (D) of paragraph (1) of subdivision (e), shall be deposited in the Private Postsecondary Education Administration Fund.

(h) The bureau shall maintain, on its internet website, both of the following:

(1) The provisions of the standard form contract used for purposes of this section.

(2) A list of institutions with which the bureau has executed a contract pursuant to this section.

(i) On or before February 1, 2017, and each year thereafter, the bureau shall report to the Director of Finance and, in conformity with Section 9795 of the Government Code, to the Legislature regarding implementation of this section. The report shall include all of the following information:

(1) A list of institutions with which the bureau has executed a contract pursuant to this section.

(2) The total number of complaints received by the bureau relating to institutions listed in paragraph (1).

(3) The general nature of those complaints.

(4) The total number of those complaints referred to another entity, disaggregated by the entity to which each complaint was referred.

(5) The total number of complaints resolved, disaggregated by the entity that resolved each complaint.

(6) The total number of complaints pending, disaggregated by the entity to which each complaint was referred.

(j) Notwithstanding any other law, the Department of General Services, at the request of the bureau, may exempt contracts executed pursuant to this section from any laws, rules, resolutions, or procedures that are otherwise applicable to public contracts that the Department of General Services administers.

Added by Stats. 2015, Ch. 22, §25. (SB 81)

Amended by Stats. 2023, Ch. 510, §93 (SB 887)

ARTICLE 5. Bureau Powers and Duties

Article 5 Added by Stats. 2009, Ch. 310, §6 (AB 48)

94875. Empowerment of Bureau

The Bureau for Private Postsecondary Education, as established by Section 6 of Chapter 635 of the Statutes of 2007, is continued in existence and shall commence operations. This chapter establishes the functions and responsibilities of the bureau, for the purposes of Section 6 of Chapter 635 of the Statutes of 2007. The bureau shall regulate private postsecondary educational institutions through the powers

granted, and duties imposed, by this chapter. In exercising its powers, and performing its duties, the protection of the public shall be the bureau's highest priority. If protection of the public is inconsistent with other interests sought to be promoted, the protection of the public shall be paramount.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94876. Director, Bureau Chief, Personnel

(a) The powers and duties set forth in this chapter are vested in the Director of Consumer Affairs, who may delegate them to a bureau chief, subject to this section. The bureau chief shall work in collaboration with the director. The director is responsible for the implementation of this chapter and they shall ensure that the protection of the public is the bureau's highest priority.

(b) The bureau chief shall be appointed by the Governor, subject to confirmation by the Senate, and is exempt from the State Civil Service Act pursuant to Part 2 (commencing with Section 18500) of Division 5 of Title 2 of the Government Code.

(c) Each power granted to, or duty imposed upon, the bureau under this chapter shall be exercised and performed in the name of the bureau, subject to any conditions and limitations the director may prescribe. The bureau chief may delegate any powers or duties to a designee.

(d) As may be necessary to carry out this chapter, the director, in accordance with the State Civil Service Act, may appoint and fix the compensation of personnel.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §12. (SB 1247)

Amended by Stats. 2024, Ch. 497, §81. (SB 1526)

94877. Adoption of Regulations, Enforcement Program, Unlicensed Activity

(a) The bureau shall adopt and shall enforce regulations to implement this chapter pursuant to the Administrative Procedure Act (Chapter 3.5 (commencing with Section 11340) of Part 1 of Division 3 of Title 2 of the Government Code).

(b) The bureau shall develop and implement an enforcement program, pursuant to Article 18 (commencing with Section 94932) to implement this chapter. The enforcement program shall include a plan for investigating complaints filed with the bureau. The bureau shall contract with the office of the Attorney General, or other appropriate state agency, to establish a process for the bureau's staff to be trained to investigate complaints, including, but not limited to, the information, evidence, and materials needed to process complaints.

(c) The bureau shall institute training to ensure that its staff are equipped to review and verify the accuracy of the data contained in consumer disclosures, including, but not limited to, the School Performance Fact Sheet.

(d) The bureau shall establish a program to proactively identify unlicensed institutions, identify material or repeated violations of this chapter and regulations implementing this chapter, and take all appropriate legal action.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §13. (SB 1247)

94878. Bureau Internet Web Site

(a) The bureau shall establish an internet website that includes at least all of the following information:

(1) An explanation of the bureau's scope of authority.

(2) (A) A directory of approved institutions, and a link, if feasible, to the internet website of each institution.

(B) For each institution, the directory shall be developed in a manner that allows the user to search by institution and shall include all of the following information:

(i) The status of the institution's approval to operate.

(ii) The information provided by the institutions, including, but not limited to, the annual report, as required by Section 94934, including the school catalog and the School Performance Fact Sheet. The School Performance Fact Sheet shall be maintained on the directory for at least five years after the date of its submission to the bureau.

(iii) If a law school satisfies the requirements of this chapter regarding a School Performance Fact Sheet by complying with the requirements of Section 94910.5, the bureau shall include the information provided by the institution pursuant to Section 94910.5 on its internet website and shall maintain the information in the same manner as required by clause (ii).

(iv) The disciplinary history of the institution, which shall include, but shall not be limited to, all of the following:

(I) Pending formal accusations filed by the bureau.

(II) Suspensions, revocations, citations, fines, infractions, probations, pending litigation filed by the bureau, and final judgments resulting from litigation filed by the bureau.

(III) Pending or final civil or criminal cases filed by the Attorney General, a city attorney, or a district attorney in this state, or filed in any state by an attorney general or a federal regulatory or prosecutorial agency of which the bureau has received notice.

(IV) Final administrative actions by the United States Department of Education, including orders requiring restitution to students.

(V) All disciplinary actions ordered by an accreditation agency, including any order to show cause, of which the bureau has received notice pursuant to Section 94934 or other information otherwise publicly available of which the bureau has received notice.

(b) The bureau shall maintain the internet website described in subdivision (a). The bureau shall ensure that the information specified in subdivision (a) is kept current. The bureau shall update the Internet

Web site at least annually, to coincide with the submission of annual reports by the institutions pursuant to Section 94934.

(c) (1) The bureau shall post on its internet website site a list of all institutions that were denied approval to operate, after the denial is final, and describe in clear and conspicuous language the reason the institution was denied approval. The bureau shall include with this list the statement provided in paragraph (2) on its Internet Web site.

(2) "The following institutions were denied approval to operate by the Bureau for Private Postsecondary Education for failing to satisfy the standards relating to educational quality, or consumer protection, or both. These unlicensed institutions are not operating in compliance with the law, and students are strongly discouraged from attending these institutions."

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §14. (SB 1247)

Amended by Stats. 2016, Ch. 593, §10. (SB 1192)

Amended by Stats. 2023, Ch. 510, §94 (SB 887)

94880. Advisory Committee

(a) There is within the bureau a 12-member advisory committee. The members of the committee shall be appointed as follows:

(1) Three members, who shall have a demonstrated record of advocacy on behalf of consumers, of which the director, the Senate Committee on Rules, and the Speaker of the Assembly shall each appoint one member.

(2) Two members, who shall be current or past students of institutions, appointed by the director.

(3) Three members, who shall be representatives of institutions, appointed by the director.

(4) One public member appointed by the Senate Committee on Rules.

(5) One public member appointed by the Speaker of the Assembly.

(6) Two nonvoting, ex officio members as follows:

(A) The chair of a policy committee of the Assembly with jurisdiction over legislation relating to the bureau appointed by the Speaker of the Assembly. The chair may designate a representative for any meeting or meetings the chair is unable to attend.

(B) The chair of a policy committee of the Senate with jurisdiction over legislation relating to the bureau appointed by the Senate Committee on Rules. The chair may designate a representative for any meeting or meetings the chair is unable to attend.

(b) (1) A member appointed pursuant to paragraph (2), (4), or (5) of subdivision (a) shall not, either at the time of the member's appointment or during the member's tenure in office, have any financial interest in any organization currently or previously subject to regulation by the bureau, be a close family member of an employee, officer, or the director of any institution subject to regulation by the bureau, or currently have, or previously have had, a business relationship, in the five years preceding the member's appointment, with any institution subject to regulation by the bureau.

(2) A member appointed pursuant to paragraph (2), (4), or (5) of subdivision (a) shall not, within the five years immediately preceding the member's appointment, have engaged in pursuits on behalf of an institution or institutional accreditor or have provided representation to the postsecondary educational industry or a profession regulated by the bureau, if the member is employed in the industry or a member of the profession, respectively, and the member shall not engage in those pursuits or provide that representation during the member's term of office.

(c) The advisory committee shall examine the oversight functions and operational policies of the bureau and advise the bureau with respect to matters relating to private postsecondary education and the administration of this chapter, including annually reviewing the fee schedule and the equity of the schedule relative to the way institutions are structured, and the licensing and enforcement provisions of this chapter. The advisory committee shall make recommendations with respect to policies, practices, and regulations relating to private postsecondary education, and shall provide any assistance as may be requested by the bureau.

(d) The bureau shall actively seek input from, and consult with, the advisory committee regarding the development of regulations to implement this chapter before the adoption, amendment, or repeal of its regulations, and provide the advisory committee with sufficient time to review and comment on those regulations. The bureau shall take into consideration and respond to all feedback provided by members of the advisory committee.

(e) The bureau chief shall attend all advisory committee meetings and shall designate staff to provide ongoing administrative support to the advisory committee.

(f) Until January 1, 2017, the director shall personally attend, and testify and answer questions at, each meeting of the advisory committee.

(g) The Chief of the Office of Student Assistance and Relief established in Article 20.6 (commencing with Section 94949.7) shall attend, and testify and answer questions at, each meeting of the advisory committee.

(h) The advisory committee shall have the same access to records within the Department of Consumer Affairs related to the operation and administration of this chapter as do members of constituent boards of the department in regard to records related to their functions.

(i) Advisory committee meetings shall be subject to the Bagley-Keene Open Meeting Act (Article 9 (commencing with Section 11120) of Chapter 1 of Part 1 of Division 3 of Title 2 of the Government Code). Advisory committee meeting materials shall be posted on the internet. A majority of the voting members of the committee shall constitute a quorum for the committee's meetings.

(j) The advisory committee shall meet at least quarterly and shall appoint a member of the committee to represent the committee for purposes of communicating with the Legislature.

(k) The Department of Consumer Affairs shall review, and revise if necessary, the department's conflicts of interest regulations to ensure that each advisory committee member is required to disclose conflicts of interest to the public.

(l) The advisory committee shall elect annually from among its members a chair and vice chair. A member shall not serve in the chair or vice chair position for more than a combined two years.

(m) The advisory committee shall adopt reasonable rules for the conduct of its affairs consistent with this section.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §16. (SB 1247)

Amended by Stats. 2015, Ch. 303, §142. (AB 731)

Amended by Stats. 2016, Ch. 593, §12. (SB 1192)

Amended by Stats. 2018, Ch. 422, §6. (SB 1492)

Amended by Stats. 2021, Ch. 552, §5 (SB 802)

94880.1. Task Force – Innovative Subject Matters

(a) (1) The bureau shall establish a task force no later than March 1, 2015, to review standards for educational and training programs specializing in innovative subject matters and instructing students in high-demand technology fields for which there is a demonstrated shortage of skilled employees. The members of the task force may include postsecondary education experts, owners of institutions, consumer advocates focused on education, high technology employers, students of short-term focused high technology training programs, and providers of high technology training in subjects including, but not necessarily limited to, programming, software development, computer science, and coding.

(2) At least two members of the task force shall be members of the advisory committee. One of these members shall serve as chair of the task force.

(3) The task force shall transmit a report with its recommendations and findings to the advisory committee no later than January 1, 2016. The task force's report shall include, but not necessarily be limited to, all of the following:

(A) Whether students attending institutions should receive certain disclosures prior to enrolling in an educational program offered by those institutions.

(B) Whether the means of reporting student outcomes and the content of those reports are appropriate.

(C) The steps the state may take to promote the growth of high-quality training programs in skills for high technology occupations.

(b) The advisory committee shall review and approve, modify, or reject the report prepared pursuant to paragraph (3) of subdivision (a). The bureau shall provide the approved report to the Legislature no later than July 1, 2016.

(c) The requirement for submitting a report imposed under this subdivision is inoperative on January 1, 2017, pursuant to Section 10231.5 of the Government Code.

(d) The report to be submitted to the Legislature pursuant to subdivision (c) shall be submitted in compliance with Section 9795 of the Government Code.

Added by Stats. 2014, Ch. 840, §17. (SB 1247)

94881. Workshops with Schools

The bureau may conduct workshops to provide applicants and institutions information on application processes, compliance with this chapter, best practices for providing postsecondary educational programs, and other subjects concerning postsecondary education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94882. Visiting Committees

The bureau may empanel visiting committees to assist in evaluating an institution's application for an approval to operate. The members of visiting committees shall serve at no expense to the state, except that the bureau may reimburse the members of visiting committees for actual travel and per diem expenses incurred during the evaluation. The bureau may seek reimbursement for the travel and per diem costs from the institution that is the subject of an evaluation.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94883. Protection for Agents of Bureau

(a) Any individual serving on a visiting committee who provides information to the bureau, or its staff, in the course of evaluating any institution, or who testifies in any administrative hearing arising under this chapter, is entitled to a defense and indemnification in any action arising out of the information or testimony provided as if they were a public employee.

(b) Any defense and indemnification shall be solely with respect to the action pursuant to Article 4 (commencing with Section 825) of Chapter 1 of Part 2 of, and Part 7 (commencing with Section 995) of, Division 3.6 of Title 1 of the Government Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §82 (SB 1526)

94884. Reporting of Licensee Information

The bureau is subject to Section 27 of the Business and Professions Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 6. Approval to Operate

Article 6 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94885. Minimum Operating Standards

(a) The bureau shall adopt by regulation minimum operating standards for an institution that shall reasonably ensure that all of the following occur:

(1) The content of each educational program can achieve its stated objective.

(2) The institution maintains specific written standards for student admissions for each educational program and those standards are related to the particular educational program.

(3) The facilities, instructional equipment, and materials are sufficient to enable students to achieve the educational program's goals.

(4) The institution maintains a withdrawal policy and provides refunds.

(5) The directors, administrators, and faculty are properly qualified.

(6) The institution is financially sound and capable of fulfilling its commitments to students.

(7) That, upon satisfactory completion of an educational program, the institution gives students a document signifying the degree or diploma awarded.

(8) Adequate records and standard transcripts are maintained and are available to students.

(9) The institution is maintained and operated in compliance with this chapter and all other applicable ordinances and laws.

(b) Except as provided in Section 94885.1, an institution offering a degree must satisfy one of the following requirements:

(1) Accreditation by an accrediting agency recognized by the United States Department of Education, with the scope of that accreditation covering the offering of at least one degree program by the institution.

(2) An accreditation plan, approved by the bureau, for the institution to become fully accredited within five years of the bureau's issuance of a provisional approval to operate to the institution's degree programs. The provisional approval for the unaccredited institution to operate degree programs shall be in compliance with Section 94885.5.

(c) For institutions that are approved by means of accreditation and accredited by an agency that loses recognition by the United States Department of Education, an application for approval to operate an institution unaccredited shall be submitted to the bureau within six months of the agency's loss of recognition. The application shall include an accreditation plan for the institution to become fully accredited by an accrediting agency recognized by the United States Department of Education within five years of the bureau's issuance to the institution of a provisional approval to operate degree programs. If the institution fails to submit the required application and accreditation plan within six months of its accreditor's loss of recognition, the institution shall cease to hold a valid approval to operate. The bureau shall review the submitted application and accreditation plan and issue the institution a provisional approval to operate degree programs within 18 months of the accreditor's loss of recognition or deny the application, at which time the institution shall cease to hold a valid approval to operate. An unaccredited institution with a provisional approval to operate degree programs shall comply with Section 94885.5, except for paragraph (1) of subdivision (a) of Section 94885.5. The institution shall not seek bureau approval for additional degree programs until the institution regains accreditation.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §18. (SB 1247)

Amended by Stats. 2016, Ch. 593, §13. (SB 1192)

Amended by Stats. 2022, Ch. 544, §4 (SB 1433)

94885.5. Accreditation Required for Degree Granting Institutions

(a) If an institution that has not been accredited by an accrediting agency recognized by the United States Department of Education seeks to offer one or more degree programs, the institution shall satisfy the following requirements in order to be issued a provisional approval to operate degree programs from the bureau:

(1) The institution may not offer more than two degree programs during the term of its provisional approval to operate degree programs.

(2) The institution shall submit an accreditation plan, approved by the bureau, for the institution to become fully accredited within five years of issuance of its provisional approval to operate degree programs. The plan shall include, at a minimum, identification of an accreditation agency recognized by the United States Department of Education, from which the institution plans to seek accreditation, and outline the process by which the institution will achieve accreditation candidacy or pre-accreditation within two years, and full accreditation within five years, of issuance of its provisional approval to operate degree programs.

(3) The institution shall submit to the bureau all additional documentation the bureau deems necessary to determine if the institution will become fully accredited within five years of issuance of its provisional approval to operate degree programs.

(b) If an institution is granted a provisional approval to operate degree programs pursuant to subdivision (a), the following is required:

(1) Students seeking to enroll in that institution shall be notified in writing by the institution, before the execution of the student's enrollment agreement, that the institution's approval to operate is contingent upon it being subsequently accredited.

(2) Within the first two years of issuance of the provisional approval to operate degree programs, a visiting committee, empaneled by the bureau pursuant to Section 94882, shall review the institution's application for approval and its accreditation plan, and make a recommendation to the bureau regarding the institution's progress to achieving full accreditation.

(3) The institution shall provide evidence of accreditation candidacy or pre-accreditation within two years of issuance of its provisional approval to operate degree programs, and evidence of accreditation within five years of issuance of its provisional approval to operate degree programs, with the scope of that accreditation covering the offering of at least one degree program.

(c)(1) Except as provided in paragraph (2), an institution required to comply with this section that fails to do so by the dates provided, as required, or for which accreditation is removed or revoked by the accrediting agency, shall have its provisional approval to operate degree programs automatically suspended on the applicable date. The bureau shall issue an order suspending the institution's degree programs and that suspension shall not be lifted until the institution complies with the requirements of this section or has its accreditation reinstated. An institution that has its degree programs suspended shall not enroll new students in any of its degree programs and shall execute a teach-out plan for its enrolled students in those degree programs.

(2) (A) This section does not prohibit an institution from voluntarily ceasing to pursue accreditation. An institution that voluntarily ceases to pursue accreditation shall immediately notify the bureau in writing

of the institution's intent to stop offering its degree programs and shall comply with all other applicable laws and regulations. Upon the bureau's receipt of the notification, the institution's approval to operate degree programs is deemed voluntarily surrendered.

(B) An institution offering both degree and nondegree programs that has its provisional approval to operate degree programs suspended or that voluntarily ceases to pursue accreditation may continue to offer its nondegree programs, subject to all other laws and regulations.

(C) An institution that is pursuing accreditation under this section shall not make a change in ownership, change in control, or change in business organization form pursuant to Sections 94893 and 94894 until the institution obtains full accreditation.

(d) (1) The bureau shall, upon the timely submission of sufficient evidence that an unaccredited institution is making strong progress toward obtaining accreditation, or if warranted by the accrediting agency's conditions for applying for accreditation related to student enrollment or graduation, grant an institution's request for an extension of time, not to exceed a combined total of five years, to meet the requirements of this section.

(2) Evidence submitted to the bureau pursuant to paragraph (1) shall include, but is not limited to, an amended accreditation plan adequately identifying why pre-accreditation, accreditation candidacy, or accreditation outlined in the original plan submitted to the bureau was not achieved, active steps the institution is taking to comply with this section, and documentation from an accrediting agency demonstrating either the institution's likely ability to meet the requirements of this section or the accrediting agency's relevant conditions for an institution to apply for accreditation.

(3) The bureau may establish policies and procedures to comply with the requirements in this subdivision. Establishment of these policies and procedures are exempt from Chapter 3.5 (commencing with Section 11340), Chapter 4 (commencing with Section 11370), Chapter 4.5 (commencing with Section 11400), and Chapter 5 (commencing with Section 11500) of Part 1 of Division 3 of Title 2 of the Government Code.

(e) An institution issued a provisional approval to operate degree programs under this section is required to comply with all other laws and regulations.

(f) The bureau shall adopt emergency regulations for purposes of implementing this section. The adoption of these regulations shall be deemed to be an emergency and necessary for the immediate preservation of the public peace, health and safety, or general welfare for purposes of Sections 11346.1 and 11349.6 of the Government Code. These emergency regulations shall become law through the regular rulemaking process within one year of the enactment of this section.

Added by Stats. 2014, Ch. 840, §20. (SB 1247)

Amended by Stats. 2016, Ch. 593, §15. (SB 1192)

Amended by Stats. 2021, Ch. 552, §7. (SB 802)

94885.7. Ceasing of accreditation or pursuit of accreditation

(a) When an institution offering at least one degree program has ceased to be accredited by an accrediting agency recognized by the United States Department of Education, the institution shall notify the bureau immediately, but no more than seven days after it ceases to be accredited. The institution's approval to operate degree programs shall become provisional as of the date that the institution ceases to be accredited.

(b) An institution that has had its approval to operate degree programs become provisional shall satisfy the following requirements in order to maintain its provisional approval to operate degree programs from the bureau:

(1) The institution shall not seek bureau approval for additional degree programs until the institution regains accreditation.

(2) Within six months of its approval to operate degree programs becoming provisional, the institution shall submit an accreditation plan, to be approved by the bureau, for the institution to become fully accredited within five years of the date of its provisional approval to operate degree programs. The plan shall include, at a minimum, identification of an accreditation agency recognized by the United States Department of Education, from which the institution plans to seek accreditation, and outline the process by which the institution will achieve accreditation candidacy or pre-accreditation within two years, and full accreditation within five years, of its provisional approval to operate degree programs.

(3) The institution shall submit to the bureau all additional documentation the bureau deems necessary to determine if the institution will become fully accredited within five years of its approval to operate degree programs being deemed provisional.

(c) An institution that satisfies the requirements of subdivision (b) shall comply with both of the following:

(1) Notify students seeking to enroll in the institution, in writing, before the execution of the student's enrollment agreement, that the institution's approval to operate a degree program is contingent upon the institution being subsequently accredited.

(2) Within the first two years of the institution's approval to operate degree programs being deemed provisional, a visiting committee, empaneled by the bureau pursuant to Section 94882, shall review the institution's documentation of provisional approval and its accreditation plan, and make a recommendation to the bureau regarding the institution's progress toward achieving full accreditation.

(d) (1) The bureau shall, upon the timely submission of sufficient evidence that an unaccredited institution is making strong progress toward obtaining accreditation, grant an institution's request for an extension of time, not to exceed five years in total, to meet the requirements of this section.

(2) Evidence submitted to the bureau pursuant to paragraph (1) shall include, but is not limited to, an amended accreditation plan adequately identifying why pre-accreditation, accreditation candidacy, or accreditation outlined in the original plan submitted to the bureau was not achieved, active steps the institution is taking to comply with this section, and documentation from an accrediting agency demonstrating the institution's likely ability to meet the requirements of this section.

(3) The bureau may establish policies and procedures to comply with the requirements of this subdivision. Establishment of these policies and procedures are exempt from Chapter 3.5 (commencing with Section 11340), Chapter 4 (commencing with Section 11370), Chapter 4.5 (commencing with Section 11400), and Chapter 5 (commencing with Section 11500) of Part 1 of Division 3 of Title 2 of the Government Code.

(e) Any institution that fails to comply with the requirements of this section by the dates provided shall have its provisional approval to operate degree programs automatically suspended on the applicable date. The bureau shall issue an order suspending the institution's provisional approval to operate degree

programs and that suspension shall not be lifted until the institution complies with the requirements of this section or has its accreditation reinstated. An institution with a suspended provisional approval to operate degree programs shall not enroll new students in any of its degree programs and shall execute a teach-out plan for its enrolled students.

(f) (1) This section does not prohibit an institution from voluntarily ceasing to pursue accreditation. An institution that voluntarily ceases to pursue accreditation shall immediately notify the bureau in writing of the institution's intent to stop offering its degree programs and shall comply with all other applicable laws and regulations. Upon the bureau's receipt of the notification, the institution's approval to operate degree programs is deemed voluntarily surrendered.

(2) An institution offering both degree and nondegree programs that has its provisional approval to operate degree programs suspended or that voluntarily ceases to pursue accreditation may continue to offer its nondegree programs and is subject to all other laws and regulations.

(3) An institution that is pursuing accreditation under this section shall not make a change in ownership, change in control, or change in business organization form pursuant to Sections 94893 and 94894 until the institution obtains full accreditation.

Added by Stats. 2022, Ch. 544, §5. (SB 1433)

94886. Approval to Operate Required

Except as exempted in Article 4 (commencing with Section 94874) or in compliance with the transition provisions in Article 2 (commencing with Section 94802), a person shall not open, conduct, or do business as a private postsecondary educational institution in this state without obtaining an approval to operate under this chapter.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94887. Granting of Approval to Operate

An approval to operate shall be granted only after an applicant has presented sufficient evidence to the bureau, and the bureau has independently verified the information provided by the applicant through site visits or other methods deemed appropriate by the bureau, that the applicant has the capacity to satisfy the minimum operating standards. The bureau shall deny an application for an approval to operate if the application does not satisfy those standards. The bureau may deny an application for an approval to operate institutions that would be owned by, have persons in control of, or employ institution managers that had knowledge of, should have known, or knowingly participated in any conduct that was the cause for revocation or unmitigated discipline at another institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2022, Ch. 544 §6 (SB 1433)

94888. Application and Review Procedures

(a) The bureau shall adopt by regulation both of the following:

(1) The process and procedures whereby an institution seeking approval to operate may apply for and obtain an approval to operate.

(2) The process and procedures governing the bureau's approval and denial of applications for approval to operate, including the process and procedures whereby an applicant for which an application has been denied may appeal that denial.

(b) The bureau shall, by regulation, establish both of the following:

(1) A process for issuing a notification of a denial of an approval to operate to an institution that submits an application for approval to operate and for which that application is denied. The notification of denial shall include a statement of reasons for the denial.

(2) Application processing goals and timelines to ensure an institution that has submitted a complete application for approval to operate has that application promptly reviewed for compliance within 30 days of bureau receipt of the application, or within an appropriate timeline as determined by the bureau. The timelines shall ensure that an institution that has submitted a complete and compliant application receives approval within 30 days of the application being deemed compliant by the bureau, or within an appropriate timeline as determined by the bureau.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §21. (SB 1247)

94889. Term of Approval to Operate

(a) Except as provided in subdivision (b) of Section 94890, an approval to operate shall be for a term of five years.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §16. (SB 1192)

Amended by Stats. 2021, Ch. 552, §8. (SB 802)

94890. Approval By Means of Accreditation

(a) (1) The bureau shall grant an institution that is accredited an approval to operate by means of its accreditation.

(2) The bureau shall adopt by regulation the process and procedures whereby an institution that is accredited may apply for and obtain an approval by means of that accreditation. The bureau shall establish application processing goals and timelines to ensure that an institution that has submitted a complete application for approval to operate by means of its accreditation has that application promptly reviewed for compliance within 30 days of the bureau's receipt of the application or within an appropriate timeline as determined by the bureau. The timelines shall ensure that an institution that has submitted a complete and compliant application receives approval within 30 days of the application being deemed compliant by the bureau, or within an appropriate timeline as determined by the bureau.

(b) The term of an approval to operate pursuant to this section shall be coterminous with the term of accreditation. Upon renewal of the institution's accreditation, the institution shall submit verification to the bureau, on a form provided by the bureau, that the institution's accreditation has been renewed.

(c) Institutions that are granted an approval to operate by means of the institution's accreditation shall comply with all other applicable requirements in this chapter.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §22. (SB 1247)

94891. Renewal Process

(a) The bureau shall adopt by regulation the process and procedures whereby an institution may obtain a renewal of an approval to operate.

(b) To be granted a renewal of an approval to operate, the institution shall demonstrate its continued capacity to meet the minimum operating standards.

(c) (1) An institution that is denied renewal of an approval to operate may file an appeal in accordance with the procedures established by the bureau pursuant to Section 94888.

(2) An institution that has filed an appeal of a denial of a renewal application may continue to operate during the appeal process, but must disclose in a written statement, approved by the bureau, to all current and prospective students, that the institution's application for renewal of approval to operate was denied by the bureau because the bureau determined the application did not satisfy the requirements to operate in California, that the institution is appealing the bureau's decision, and that the loss of the appeal may result in the institution's closure.

(3) If the bureau determines that the continued operation of the institution during the appeal process poses a significant risk of harm to students, the bureau shall make an emergency decision pursuant to its authority provided in Section 94938.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §23. (SB 1247)

94892. Program Approval By Other Government Agency

If an agency of this state other than the bureau or of the federal government provides an approval to offer an educational program and the institution already has a valid approval to operate issued by the bureau, that agency's educational program approval may satisfy the requirements of this article without any further review by the bureau. The bureau may incorporate that educational program into the institution's approval to operate when the bureau receives documentation signifying the conferral of the educational program approval by that agency.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Article 6.5. Labor Market Outcome Data Reporting

Article 6.5 Added by Stats. 2019, Ch. 519, §1. (AB 1340)

94892.6. Data Collection, Reporting, and Review

(a) (1) An institution approved to operate by the bureau shall collect and retain all of the following data:

(A) For each graduate completing a program on or after January 1, 2020:

(i) Individual identifying information for each graduate of the institution sufficient to match to wage data from the Employment Development Department pursuant to Section 1095 of the Unemployment Insurance Code.

(ii) The program the graduate was enrolled in.

(iii) The graduate's student loan debt information reported under subdivision (g) of Section 74112 of Title 5 of the California Code of Regulations, if that information applies to the student.

(B) Other information determined by the bureau to be warranted for the purpose of inclusion in the Cradle-to-Career Data System established pursuant to Article 2 (commencing with Section 10860) of Chapter 8.5 of Part 7 of Division 1 of Title 1.

(2) All social security numbers or federal taxpayer identification numbers collected pursuant to subparagraph (A) of paragraph (1) shall be reported by an institution solely for the purposes set forth in this section, and shall not be disclosed by an institution to any third party other than the bureau, the Employment Development Department, and the Cradle-to-Career Data System established pursuant to Article 2 (commencing with Section 10860) of Chapter 8.5 of Part 7 of Division 1 of Title 1, unless the disclosure is otherwise required by law.

(b) (1) An institution shall report information collected pursuant to subdivision (a) to the bureau annually according to a schedule and in a format determined by the bureau. The bureau shall match the data reported by institutions pursuant to this section with wage data from the Employment Development Department pursuant to Section 1095 of the Unemployment Insurance Code.

(2) The bureau shall provide the data reported by institutions pursuant to this section to both of the following:

(A) The Employment Development Department for the purpose of fulfilling federal reporting requirements outlined in Section 116(d)(4)(a) of the federal Workforce Innovation and Opportunity Act (Public Law 113-128), to the extent permitted by state and federal laws and regulations.

(B) The Cradle-to-Career Data System, as required by Cradle-to-Career Data System data providers pursuant to Section 10871.

(3) The bureau shall make available on its internet website the relevant program-level and institution-level statistics, presented in terms of easily understood labor market measures and consistent with all pertinent state and federal privacy laws, regarding the earnings levels of graduates and the student debt information reported under subdivision (g) of Section 74112 of Title 5 of the California Code of Regulations, if that information applies to the student.

(4) Labor market outcome data for each program and institution shall, at a minimum, provide data relating to graduates at two years and at five years after their graduation.

(5) This subdivision shall not be operative until the Director of Consumer Affairs certifies that the bureau's information technology system has been updated and is capable of processing data as required by this section. The bureau shall notify institutions when this certification has occurred. An institution shall have 120 days from the date it receives notification from the bureau to comply with this section.

(c) When sufficient data is reported and publicly available under this section, it is the intent of the Legislature to review the process by which institutions are required to collect and report employment data and reduce duplicative efforts.

Added by Stats. 2019, Ch. 519, §1. (AB 1340); amended by Stats. 2021, Ch. 144, Sec. 69. (AB 132) Effective July 27, 2021.

ARTICLE 7. Substantive Changes to an Approval to Operate

Article 7 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94893. Authorization Required for Substantive Change

If an institution intends to make a substantive change to its approval to operate, the institution shall receive prior authorization from the bureau. Except as provided in subdivision (a) of Section 94896, if the institution makes the substantive change without prior bureau authorization, the institution's approval to operate may be suspended or revoked.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94894. Substantive Change Defined

The following changes to an approval to operate are considered substantive changes and require prior authorization:

- (a) A change in educational objectives, including an addition of a new diploma or a degree educational program unrelated to the approved educational programs offered by the institution.
- (b) A change in ownership or person in control.
- (c) A change in control.
- (d) A change in business organization form.
- (e) A change of location.
- (f) A change of name.
- (g) A significant change in the method of instructional delivery.
- (h) An addition of a separate branch more than five miles from the main or branch campus.
- (i) An increase or decrease of 25 percent or more in the number of clock hours or credit hours required for successful completion of the program.
- (j) Participation in federal student financial aid programs authorized by Title IV of the federal Higher Education Act of 1965, as amended (20 U.S.C. Sec. 1070 et seq.).
- (k) A change in the academic measurement of an educational program from clock hours to credit hours.
- (l) A change in the distance education learning management system.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2021, Ch. 552, §9. (SB 802)

Amended by Stats. 2022, Ch. 544, §7 (SB 1433)

94895. Procedures for Authorizing Substantive Change

The bureau shall, by January 1, 2011, adopt by regulation the process and procedures whereby an institution shall seek authorization for substantive changes to an approval to operate.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94896. Substantive Change for Institutions Approved by Means of Accreditation

(a) An institution that has been granted an approval to operate by means of accreditation shall only make a substantive change in accordance with the institution's accreditation standards.

(b) The institution shall notify the bureau of the substantive change on a form provided by the bureau.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 8. Fair Business Practices

Article 8 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94897. Prohibited Business Practices

An institution shall not do any of the following:

(a) Use, or allow the use of, any reproduction or facsimile of the Great Seal of the State of California on a diploma.

(b) Promise or guarantee employment, or otherwise overstate the availability of jobs upon graduation.

(c) Advertise concerning job availability, degree of skill, or length of time required to learn a trade or skill unless the information is accurate and not misleading.

(d) Advertise, or indicate in promotional material, without including the fact that the educational programs are delivered by means of distance education if the educational programs are so delivered.

(e) Advertise, or indicate in promotional material, that the institution is accredited, unless the institution has been accredited by an accrediting agency.

(f) Solicit students for enrollment by causing an advertisement to be published in "help wanted" columns in a magazine, newspaper, or publication, or use "blind" advertising that fails to identify the institution.

(g) Offer to compensate a student to act as an agent of the institution with regard to the solicitation, referral, or recruitment of any person for enrollment in the institution, except that an institution may award a token gift to a student for referring an individual, provided that the gift is not in the form of money, no more than one gift is provided annually to a student, and the gift's cost is not more than one hundred dollars (\$100).

(h) Pay any consideration to a person to induce that person to sign an enrollment agreement for an educational program.

(i) Use a name in any manner improperly implying any of the following:

(1) The institution is affiliated with any government agency, public or private corporation, agency, or association if it is not, in fact, thus affiliated.

(2) The institution is a public institution.

(3) The institution grants degrees, if the institution does not grant degrees.

(j) In any manner make an untrue or misleading change in, or untrue or misleading statement related to: a test score, grade or record of grades, attendance record, record indicating student completion, placement, employment, salaries, or financial information; a financial report filed with the bureau; information or records relating to the student's eligibility for student financial aid at the institution; or any other record or document required by this chapter or by the bureau.

(k) Willfully falsify, destroy, or conceal any document of record while that document of record is required to be maintained by this chapter.

(l) Use the terms "approval," "approved," "approval to operate," or "approved to operate" without stating clearly and conspicuously that approval to operate means compliance with state standards as set forth in this chapter. An institution may not state or imply either of the following:

(1) The institution or its educational programs are endorsed or recommended by the state or by the bureau.

(2) The approval to operate indicates that the institution exceeds minimum state standards as set forth in this chapter.

(m) Direct any individual to perform an act that violates this chapter, to refrain from reporting unlawful conduct to the bureau or another government agency, or to engage in any unfair act to persuade a student not to complain to the bureau or another government agency.

(n) Compensate an employee involved in recruitment, enrollment, admissions, student attendance, or sales of educational materials to students on the basis of a commission, commission draw, bonus, quota, or other similar method related to the recruitment, enrollment, admissions, student attendance, or sales of educational materials to students, except as provided in paragraph (1) or (2):

(1) If the educational program is scheduled to be completed in 90 days or less, the institution shall pay compensation related to a particular student only if that student completes the educational program.

(2) For institutions participating in the federal student financial aid programs, this subdivision shall not prevent the payment of compensation to those involved in recruitment, admissions, or the award of financial aid if those payments are in conformity with federal regulations governing an institution's participation in the federal student financial aid programs.

(o) Require a prospective student to provide personal contact information in order to obtain, from the institution's internet website, educational program information that is required to be contained in the

school catalog or any information required pursuant to the consumer information requirements of Title IV of the federal Higher Education Act of 1965, and any amendments thereto.

(p) Offer an associate, baccalaureate, master's, or doctoral degree without disclosing to prospective students before enrollment whether the institution or the degree program is unaccredited and any known limitation of the degree, including, but not limited to, all of the following:

(1) Whether a graduate of the degree program will be eligible to sit for the applicable licensure exam in California and other states.

(2) A statement that reads: "A degree program that is unaccredited or a degree from an unaccredited institution is not recognized for some employment positions, including, but not limited to, positions with the State of California."

(3) That a student enrolled in an unaccredited institution is not eligible for federal financial aid programs.

(q) In any manner commit fraud against, or make a material untrue or misleading statement to, a student or prospective student under the institution's authority or the pretense or appearance of the institution's authority.

(r) Charge or collect any payment for institutional charges that are not authorized by an executed enrollment agreement.

(s) Violate Section 1788.93 of the Civil Code.

(t) Require a prospective, current, or former student or employee to sign a nondisclosure agreement pertaining to their relationship to, or experience with, the institution, except that an institution may use a nondisclosure agreement to protect the institution's intellectual property and trade secrets. Any nondisclosure agreement in violation of this section is void and not enforceable at law or in equity.

(u) Fail to maintain policies related to compliance with this chapter or adhere to the institution's stated policies.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2011, Ch. 103, §1. (AB 611)

Amended by Stats. 2012, Ch. 585, §1. (AB 2296)

Amended by Stats. 2022, Ch. 544, §8. (SB 1433)

Amended by Stats. 2023, Ch. 510, §95. (SB 887)

Amended by Stats. 2024, Ch. 497, §83. (SB 1526)

94898. Merging Classes, Converting Method of Delivery, Changing Locations

(a) An institution shall not merge classes unless all of the students have received the same amount of instruction. This subdivision does not prevent the placement of students, who are enrolled in different educational programs, in the same class if that class is part of each of the educational programs and the placement in a merged class will not impair the students' learning of the subject matter of the class.

(b) After a student has enrolled in an educational program, the institution shall not do either of the following:

(1) Make any unscheduled suspension of any class unless caused by circumstances beyond the institution's control.

(2) Change the day or time during the period of attendance in which any class is offered to a day when the student is not scheduled to attend the institution or to a time that is outside of the range of time that the student is scheduled to attend the institution on the day for which the change is proposed unless at least 90 percent of the students who are enrolled consent to the change and the institution offers full refunds to the students who do not consent to the change. For the purpose of this paragraph, "range of time" means the period beginning with the time at which the student's first scheduled class session for the day is set to start and ending with the time the student's last scheduled class session for that day is set to finish.

(c) If an institution enrolls a student in an educational program that is conducted at a specific site at the time of enrollment, the institution shall not convert the educational program to another method of delivery, such as by means of distance education. This subdivision does not apply to an educational program that also includes a distance education component, if the student is notified during the enrollment process, in writing, that the program contains a distance education component.

(d) An institution shall not move the location of class instruction more than 25 miles from the location of instruction at the time of enrollment unless any of the following occur:

(1) The institution discloses in writing to each student before enrollment in the educational program that the location of instruction will change after the educational program begins and the address of the new location.

(2) The institution applies for, and the bureau grants, approval to change the location. The bureau shall grant the application within 60 days if the bureau, after notice to affected students and an opportunity for them to be heard as prescribed by the bureau, concludes that the change in location would not be unfair or unduly burdensome to students. The bureau may grant approval to change the location subject to reasonable conditions, such as requiring the institution to provide transportation, transportation costs, or refunds to adversely affected students.

(3) The institution offers a full refund to students enrolled in the educational program who do not voluntarily consent to the change.

(4) An unforeseeable and unavoidable circumstance outside of the control of the institution requires the change in the location of instruction.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94899. Approval Required for Programs Leading to Licensed Professions

(a) If an institution offers an educational program in a profession, occupation, trade, or career field that requires licensure in this state, the institution shall have an educational program approval from the appropriate state licensing agency to conduct that educational program in order that a

student who completes the educational program, except as provided in Section 94905, is eligible to sit for any required licensure examination.

- (b) An institution offering an educational program requiring approval from another licensing agency in this state that subsequently loses that approval shall have their approval to operate the program automatically suspended by the bureau by operation of law. The institution shall notify the bureau within 10 days of its loss of approval to offer the educational program, and shall cease offering the program within 30 days of the loss of the approval to offer the educational program, or by an earlier date as required by the other state licensing agency. Reinstatement of the approval to operate may be made at any time following the suspension by providing proof satisfactory to the bureau that the license is properly approved and in compliance with all bureau requirements.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2022, Ch. 544, §9. (SB 1433)

94899.5. Collection of Tuition

(a) Institutions that offer short-term programs designed to be completed in one term or four months, whichever is less, may require payment of all tuition and fees on the first day of instruction.

(b) For those programs designed to be greater than four months, an institution shall not require more than one term or four months of advance payment of tuition at a time. When 50 percent of the program has been offered, the institution may require full payment.

(c) The limitations in this section shall not apply to any funds received by an institution through federal and state student financial aid grant and loan programs, or through any other federal or state programs.

(d) An institution that provides private institutional loan funding to a student shall ensure that the student is not obligated for indebtedness that exceeds the total charges for the current period of attendance.

(e) At the student's option, an institution may accept payment in full for tuition and fees, including any funds received through institutional loans, after the student has been accepted and enrolled and the date of the first class session is disclosed on the enrollment agreement.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §84. (SB 1526)

ARTICLE 9. Recordkeeping

Article 9 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94900. Required Student Records

(a) An institution shall maintain records of the name, address, e-mail address, and telephone number of each student who is enrolled in an educational program in that institution.

(b) An institution shall maintain, for each student granted a degree or certificate by that institution, permanent records of all of the following:

- (1) The degree or certificate granted and the date on which that degree or certificate was granted.
- (2) The courses and units on which the certificate or degree was based.
- (3) The grades earned by the student in each of those courses.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94900.5. Required Institutional Records

An institution shall maintain, for a period of not less than five years, at its principal place of business in this state, complete and accurate records of all of the following information:

- (a) The educational programs offered by the institution and the curriculum for each.
- (b) The names and addresses of the members of the institution's faculty and records of the educational qualifications of each member of the faculty.
- (c) Any other records required to be maintained by this chapter, including, but not limited to, records maintained pursuant to Article 16 (commencing with Section 94928).

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94900.7. Record Requirements for Institutions Approved by Means of Accreditation

The recordkeeping requirements of this article shall not apply to an institution that is accredited, if the recordkeeping requirements of the accrediting organization are substantially similar to the recordkeeping requirements of this article, as determined by the bureau.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 10. Recruiters

Article 10 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94901. Requirements for Recruiters

- (a) An institution's recruiters shall be employees.
- (b) (1) An institution shall issue identification to each recruiter identifying the recruiter and the institution.
- (2) The recruiter shall have the issued identification with them while recruiting.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §85. (SB 1526)

ARTICLE 11. Enrollment Agreements and Disclosures

Article 11 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94902. General Enrollment Requirements

(a) A student shall enroll solely by means of executing an enrollment agreement. The enrollment agreement shall be signed by the student and by an authorized employee of the institution.

(b) An enrollment agreement is not enforceable unless all of the following requirements are met:

(1) The student has received the institution's catalog and School Performance Fact Sheet prior to signing the enrollment agreement.

(2) At the time of the execution of the enrollment agreement, the institution held a valid approval to operate.

(3) Prior to the execution of the enrollment agreement, the student and the institution have signed and dated the information required to be disclosed in the School Performance Fact Sheet pursuant to subdivisions (a) to (d), inclusive, of Section 94910. Each of these items in the School Performance Fact Sheet shall include a line for the student to initial and shall be initialed and dated by the student.

(c) A student shall receive a copy of the signed enrollment agreement, in writing or electronically, regardless of whether total charges are paid by the student.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2023, Ch. 510, §96. (SB 887)

94903. Waiving Provisions Prohibited

A student may not waive any term or receipt of any disclosure required by this article.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94905. Professions Requiring Licensure, Internships

(a) During the enrollment process, an institution offering educational programs designed to lead to positions in a profession, occupation, trade, or career field requiring licensure in this state shall exercise reasonable care to determine if the student will not be eligible to obtain licensure in the profession, occupation, trade, or career field at the time of the student's graduation and shall provide all students enrolled in those programs with a written copy of the requirements for licensure established by the state, including any applicable course requirements established by the state.

(1) If the minimum course requirements of the institution exceed the minimum requirements for state licensure, the institution shall disclose this information, including a list of those courses that are not required for state licensure.

(2) The institution shall not execute an enrollment agreement with a student that is known to be ineligible for licensure, unless the student's stated objective is other than licensure.

(b) During the enrollment process, an institution may discuss internships and student jobs available to the student during the student's attendance at the institution. If the institution discusses internships and student jobs, the institution shall disclose the number of requests for internship and student job placement assistance received by the institution during the immediately preceding calendar year and the number of actual placements during that year.

(c) During the enrollment process, an institution offering educational programs designed to lead to positions in a profession, occupation, trade, or career field where voluntary licensure by a government agency is available, shall provide its students seeking to enroll in those programs with a written copy of the requirements for that voluntary licensure.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §17. (SB 1192)

Amended by Stats. 2023, Ch. 510, §97. (SB 887)

94906. Language of Enrollment Agreement

(a) An enrollment agreement shall be written in language that is easily understood. If English is not the student's primary language, and the student is unable to understand the terms and conditions of the enrollment agreement, the student shall have the right to obtain a clear explanation of the terms and conditions and all cancellation and refund policies in their primary language.

(b) If the recruitment leading to enrollment was conducted in a language other than English, the enrollment agreement, disclosures, and statements shall be in that language.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §86. (SB 1526)

94907. Mandatory Internal Dispute Resolution Prohibited

An institution shall not require a student to invoke an internal institutional dispute procedure before enforcing any contractual or other legal rights or remedies.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2024, Ch. 497, §87. (SB 1526)

94908. Size of Text in Required Documents

Any information or statement required by this article to be included in the catalog, School Performance Fact Sheet, or enrollment agreement shall be printed in at least the same size font as the majority of the text in that document.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94909. Minimum Requirements for School Catalog

(a) Except as provided in subdivision (d), before enrollment, an institution shall provide a prospective student, either in writing or electronically, with a school catalog containing, at a minimum, all of the following:

(1) The name, address, telephone number, and, if applicable, internet website address of the institution.

(2) Except as specified in Article 2 (commencing with Section 94802), a statement that the institution is a private institution and that it is approved to operate by the bureau.

(3) The following statements:

(A) "Any questions a student may have regarding this catalog that have not been satisfactorily answered by the institution may be directed to the Bureau for Private Postsecondary Education at (address), Sacramento, CA (ZIP Code), (internet website address), (telephone and fax numbers)."

(B) "As a prospective student, you are encouraged to review this catalog before signing an enrollment agreement. You are also encouraged to review the School Performance Fact Sheet, which must be provided to you before signing an enrollment agreement."

(C) "A student or any member of the public may file a complaint about this institution with the Bureau for Private Postsecondary Education by calling (toll-free telephone number) or by completing a complaint form, which can be obtained on the bureau's internet website (internet website address)."

(D) "The Office of Student Assistance and Relief is available to support prospective students, current students, or past students of private postsecondary educational institutions in making informed decisions, understanding their rights, and navigating available services and relief options. The office may be reached by calling (toll-free telephone number) or by visiting (internet website address)."

(4) The address or addresses where class sessions will be held.

(5) A description of the programs offered and a description of the instruction provided in each of the courses offered by the institution, the requirements for completion of each program, including required courses, any final tests or examinations, any required internships or externships, and the total number of credit hours, clock hours, or other increments required for completion.

(6) If the educational program is designed to lead to positions in a profession, occupation, trade, or career field requiring licensure in this state, a notice to that effect and a list of the requirements for eligibility for licensure.

(7) Information regarding the faculty and their qualifications.

(8) A detailed description of institutional policies in the following areas:

(A) Admissions policies, including the institution's policies regarding the acceptance of credits earned at other institutions or through challenge examinations and achievement tests, and a list describing any transfer or articulation agreements between the institution and any other college or university that provides for the transfer of credits earned in the program of instruction. If the institution has not entered into an articulation or transfer agreement with any other college or university, the institution shall disclose that fact.

(B) Cancellation, withdrawal, and refund policies, including an explanation that the student has the right to cancel the enrollment agreement and obtain a refund of charges paid through attendance at the first class session, or the seventh day after enrollment, whichever is later. The text shall also include a description of the procedures that a student is required to follow to cancel the enrollment agreement or withdraw from the institution and obtain a refund consistent with the requirements of Article 13 (commencing with Section 94919).

(C) Probation and dismissal policies.

(D) Attendance policies.

(E) Leave-of-absence policies.

- (9) The schedule of total charges for a period of attendance and an estimated schedule of total charges for the entire educational program.
- (10) A statement reporting whether the institution participates in federal and state financial aid programs, and if so, all consumer information that is required to be disclosed to the student pursuant to the applicable federal and state financial aid programs.
- (11) A statement specifying that, if a student obtains a loan to pay for an educational program, the student will have the responsibility to repay the full amount of the loan plus interest, less the amount of any refund, and that, if the student has received federal student financial aid funds, the student is entitled to a refund of the moneys not paid from federal student financial aid program funds.
- (12) A statement specifying whether the institution has a pending petition in bankruptcy, is operating as a debtor in possession, has filed a petition within the preceding five years, or has had a petition in bankruptcy filed against it within the preceding five years that resulted in reorganization under Chapter 11 of the United States Bankruptcy Code (11 U.S.C. Sec. 1101 et seq.).
- (13) If the institution provides placement services, a description of the nature and extent of the placement services.
- (14) A description of the student's rights and responsibilities with respect to the Student Tuition Recovery Fund. This statement shall specify that it is a state requirement that a student who pays the student's tuition is required to pay a state-imposed assessment for the Student Tuition Recovery Fund. This statement shall also describe the purpose and operation of the Student Tuition Recovery Fund and the requirements for filing a claim against the Student Tuition Recovery Fund.
- (15) The following statement:
- "NOTICE CONCERNING TRANSFERABILITY OF CREDITS AND CREDENTIALS EARNED AT OUR INSTITUTION
- The transferability of credits you earn at (name of institution) is at the complete discretion of an institution to which you may seek to transfer. Acceptance of the (degree, diploma, or certificate) you earn in (name of educational program) is also at the complete discretion of the institution to which you may seek to transfer. If the (credits or degree, diploma, or certificate) that you earn at this institution are not accepted at the institution to which you seek to transfer, you may be required to repeat some or all of your coursework at that institution. For this reason you should make certain that your attendance at this institution will meet your educational goals. This may include contacting an institution to which you may seek to transfer after attending (name of institution) to determine if your (credits or degree, diploma, or certificate) will transfer."
- (16) A statement specifying whether the institution, or any of its degree programs, are accredited by an accrediting agency recognized by the United States Department of Education. If the institution is unaccredited and offers an associate, baccalaureate, master's, or doctoral degree, or is accredited and offers an unaccredited program for an associate, baccalaureate, master's, or doctoral degree, the statement shall disclose the known limitations of the degree program, including, but not limited to, all of the following:
- (A) Whether a graduate of the degree program will be eligible to sit for the applicable licensure exam in California and other states or become certified or registered as required for the applicable profession, occupation, trade, or career field in California.

(B) A degree program that is unaccredited or a degree from an unaccredited institution is not recognized for some employment positions, including, but not limited to, positions with the State of California.

(C) That a student enrolled in an unaccredited institution is not eligible for federal financial aid programs.

(b) If the institution has a general student brochure, the institution shall provide that brochure to the prospective student before enrollment. In addition, if the institution has a program-specific student brochure for the program in which the prospective student seeks to enroll, the institution shall provide the program-specific student brochure to the prospective student before enrollment.

(c) An institution shall provide the school catalog to any person upon request. In addition, if the institution has student brochures, the institution shall disclose the requested brochures to any interested person upon request.

(d) An accredited institution is not required to provide a School Performance Fact Sheet to a prospective student who is not a California resident, not residing in California at the time of the student's enrollment, and enrolling in an accredited distance learning degree program offered by the institution, if the institution complies with all federal laws, the applicable laws of the state where the student is located, and other appropriate laws, including, but not limited to, consumer protection and student disclosure requirements.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2012, Ch. 585, §2. (AB 2296)

Amended by Stats. 2014, Ch. 840, § 25. (SB 1247)

Amended by Stats. 2016, Ch. 593, §18. (SB 1192)

Amended by Stats. 2021, Ch. 367, §37. (SB 607)

Amended by Stats. 2022, Ch. 544, §10. (SB 1433)

94910. Minimum Requirements for School Performance Fact Sheet

Except as provided in subdivision (d) of Section 94909 and Section 94910.5, prior to enrollment, an institution shall provide a prospective student with a School Performance Fact Sheet containing, at a minimum, the following information, as it relates to the educational program:

(a) Completion rates, as calculated pursuant to Article 16 (commencing with Section 94928).

(b) Placement rates for each educational program, as calculated pursuant to Article 16 (commencing with Section 94928), if the educational program is designed to lead to, or the institution makes any express or implied claim related to preparing students for, a recognized career, occupation, vocation, job, or job title.

(c) License examination passage rates for programs leading to employment for which passage of a state licensing examination is required, as calculated pursuant to Article 16 (commencing with Section 94928).

(d) Salary or wage information, as calculated pursuant to Article 16 (commencing with Section 94928).

(e) If a program is too new to provide data for any of the categories listed in this subdivision, the institution shall state on its fact sheet: "This program is new. Therefore, the number of students who

graduate, the number of students who are placed, or the starting salary you can earn after finishing the educational program are unknown at this time. Information regarding general salary and placement statistics may be available from government sources or from the institution, but is not equivalent to actual performance data.”

(f) All of the following:

(1) A description of the manner in which the figures described in subdivisions (a) to (d), inclusive, are calculated or a statement informing the reader of where they may obtain a description of the manner in which the figures described in subdivisions (a) to (d), inclusive, are calculated.

(2) A statement informing the reader of where they may obtain from the institution a list of the employment positions determined to be within the field for which a student received education and training for the calculation of job placement rates as required by subdivision (b).

(3) A statement informing the reader of where they may obtain from the institution a list of the objective sources of information used to substantiate the salary disclosure as required by subdivision (d).

(g) The following statements:

(1) “This fact sheet is filed with the Bureau for Private Postsecondary Education. Regardless of any information you may have relating to completion rates, placement rates, starting salaries, or license exam passage rates, this fact sheet contains the information as calculated pursuant to state law.”

(2) “Any questions a student may have regarding this fact sheet that have not been satisfactorily answered by the institution may be directed to the Bureau for Private Postsecondary Education at (address), Sacramento, CA (ZIP Code), (internet website), (telephone and fax numbers).”

(h) If the institution participates in federal financial aid programs, the most recent three-year cohort default rate reported by the United States Department of Education for the institution and the percentage of enrolled students receiving federal student loans.

(i) Data and information disclosed pursuant to subdivisions (a) to (d), inclusive, is not required to include students who satisfy the qualifications specified in subdivision (d) of Section 94909, but an institution shall disclose whether the data, information, or both provided in its fact sheet excludes students pursuant to this subdivision. An institution shall not actively use data specific to the fact sheet in its recruitment materials or other recruitment efforts of students who are not California residents and do not reside in California at the time of their enrollment.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2012, Ch. 585, §3. (AB 2296)

Amended by Stats. 2014, Ch. 840, § 26. (SB 1247)

Amended by Stats. 2023, Ch. 510, §98. (SB 887)

94910.5. Performance Reporting Requirements for ABA Accredited Law Schools Approved by the Bureau

(a) Notwithstanding any other law, a law school that meets the criteria of subdivision (b) shall be deemed to satisfy the requirements of this chapter regarding a School Performance Fact Sheet by doing all of the following:

(1) Complying with Standard 509 of the American Bar Association's Standards and Rules of Procedure for Approval of Law Schools, as that standard may be amended.

(2) Providing completion rates of students and placement rates, bar passage rates, and salary and wage information of graduates to prospective students prior to enrollment through the law school application process administered by the Law School Admission Council.

(3) (A) Providing to prospective students any additional information required to be reported on a School Performance Fact Sheet that is not reported pursuant to paragraphs (1) and (2), including, but not limited to, the most recent three-year cohort default rate reported by the United States Department of Education for the law school and the percentage of enrolled students receiving federal student loans.

(B) If the law school's three-year cohort default rate reported by the United States Department of Education is aggregated with the three-year cohort default rate of an institution to which the law school belongs, then the law school shall provide to prospective students the law school's three-year cohort default rate disaggregated from the institution's three-year cohort default rate.

(C) The law school shall, at a minimum, provide the information described in this paragraph to prospective students by clearly posting the information in a conspicuous location on the law school's internet website.

(4) Annually providing the information required to be disclosed pursuant to this subdivision to the bureau.

(b) Subdivision (a) shall apply to a law school that meets all of the following criteria:

(1) The law school is accredited by the Council of the Section of Legal Education and Admissions to the Bar of the American Bar Association.

(2) The law school is owned by an institution authorized to operate by the bureau.

(3) The law school reports graduate salary information and other information to the National Association for Law Placement.

(4) The law school is approved to operate by the bureau pursuant to Section 94874.8.

Added by Stats. 2014, Ch. 176, §2. (AB 834)

Amended by Stats. 2023, Ch. 510, §99. (SB 887)

94911. Minimum Requirements for Enrollment Agreements

An enrollment agreement shall include, at a minimum, all of the following:

- (a) The name of the institution and the name of the educational program, including the total number of credit hours, clock hours, or other increment required to complete the educational program.
- (b) A schedule of total charges, including a list of any charges that are nonrefundable and the student's obligations to the Student Tuition Recovery Fund, clearly identified as nonrefundable charges.
- (c) In underlined capital letters on the same page of the enrollment agreement in which the student's signature is required, "THE TOTAL CHARGES FOR THE CURRENT PERIOD OF ATTENDANCE," "THE ESTIMATED TOTAL CHARGES FOR THE ENTIRE EDUCATIONAL PROGRAM," and "THE TOTAL CHARGES THE STUDENT IS OBLIGATED TO PAY UPON ENROLLMENT," followed by the relevant amounts of charges in bold, underlined type.
- (d) A clear and conspicuous statement that the enrollment agreement is legally binding when signed by the student and accepted by the institution.
- (e) (1) A disclosure with a clear and conspicuous caption, "STUDENT'S RIGHT TO CANCEL," under which it is explained that the student has the right to cancel the enrollment agreement and obtain a refund of charges paid through attendance at the first class session, or the seventh day after enrollment, whichever is later.

(2) The disclosure shall contain the institution's refund policy and a statement that, if the student has received federal student financial aid funds, the student is entitled to a refund of moneys not paid from federal student financial aid program funds.

(3) The text shall also include a description of the procedures that a student is required to follow to cancel the enrollment agreement or withdraw from the institution and obtain a refund.
- (f) A statement specifying that, if the student obtains a loan to pay for an educational program, the student will have the responsibility to repay the full amount of the loan plus interest, less the amount of any refund.
- (g) A statement specifying that, if the student is eligible for a loan guaranteed by the federal or state government and the student defaults on the loan, both of the following may occur:
 - (1) The federal or state government or a loan guarantee agency may take action against the student, including applying any income tax refund to which the person is entitled to reduce the balance owed on the loan.
 - (2) The student may not be eligible for any other federal student financial aid at another institution or other government assistance until the loan is repaid.
- (h) The transferability disclosure that is required to be included in the school catalog, as specified in paragraph (15) of subdivision (a) of Section 94909.
- (i) (1) The following statement: "Prior to signing this enrollment agreement, you must be given a catalog or brochure and a School Performance Fact Sheet, which you are encouraged to review prior to signing this agreement. These documents contain important policies and performance data for this institution."

This institution is required to have you sign and date the information included in the School Performance Fact Sheet relating to completion rates, placement rates, license examination passage rates, salaries or wages, and the most recent three-year cohort default rate, if applicable, prior to signing this agreement.”

(2) Immediately following the statement required by paragraph (1), a line for the student to initial, including the following statement: “I certify that I have received the catalog, School Performance Fact Sheet, and information regarding completion rates, placement rates, license examination passage rates, salary or wage information, and the most recent three-year cohort default rate, if applicable, included in the School Performance Fact sheet, and have signed, initialed, and dated the information provided in the School Performance Fact Sheet.”

(j) The following statements:

(1) “Any questions a student may have regarding this enrollment agreement that have not been satisfactorily answered by the institution may be directed to the Bureau for Private Postsecondary Education at (address), Sacramento, CA (ZIP Code), internet website address), (telephone and fax numbers).”

(2) “A student or any member of the public may file a complaint about this institution with the Bureau for Private Postsecondary Education by calling (toll-free telephone number) or by completing a complaint form, which can be obtained on the bureau’s internet website (internet website address).”

(k) The following statement above the space for the student’s signature:

“I understand that this is a legally binding contract. My signature below certifies that I have read, understood, and agreed to my rights and responsibilities, and that the institution’s cancellation and refund policies have been clearly explained to me.”

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2012, Ch. 585, §4. (AB 2296)

Amended by Stats. 2023, Ch. 510, §100. (SB 887)

94912. Signature, Initials Required

Prior to the execution of an enrollment agreement, the information required to be disclosed pursuant to subdivisions (a) to (d), inclusive, of Section 94910 shall be signed and dated by the institution and the student. Each of these items shall also be initialed and dated by the student.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94912.5. Financial Aid Shopping Sheet

(a) By January 1, 2020, and permanently thereafter, each institution subject to this chapter that participates in federal student financial aid programs, including, but not necessarily limited to, those programs authorized by Title IV of the federal Higher Education Act of 1965 or veterans’ financial aid programs authorized pursuant to Section 21.4253 of Title 38 of the Code of Federal Regulations, shall provide students with the Financial Aid Shopping Sheet as developed by the United States Department

of Education to inform students or potential students about financial aid award packages prior to enrollment.

(b) In implementing this section, an institution that is subject to this chapter that participates in federal student financial aid programs, including, but not necessarily limited to, those programs authorized by Title IV of the federal Higher Education Act of 1965 or veterans' financial aid programs authorized pursuant to Section 21.4253 of Title 38 of the Code of Federal Regulations, may seek guidance as needed from the United States Department of Education.

Added by Stats. 2018, Ch. 671, §3. (AB 1858)

94913. Institutional Web Site Requirements

(a) An institution that maintains an internet website shall provide on that internet website the current version of all of the following:

- (1) The school catalog.
- (2) A School Performance Fact Sheet for each educational program offered by the institution.
- (3) Student brochures offered by the institution.
- (4) A link to the bureau's internet website.
- (5) The institution's most recent annual report submitted to the bureau.

(b) An institution shall include information concerning where students may access the bureau's internet website anywhere the institution identifies itself as being approved by the bureau.

Added by Stats. 2012, Ch. 585, §5. (AB 2296)

Amended by Stats. 2023, Ch. 510, §101. (SB 887)

Amended by Stats. 2024, Ch. 497, §88. (SB 1526)

ARTICLE 12. Consumer Loans to Students

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94916. Statement on Loans to Students

An institution extending credit or lending money to an individual for institutional and noninstitutional charges for an educational program shall cause any note, instrument, or other evidence of indebtedness taken in connection with that extension of credit or loan to be conspicuously marked on its face in at least 12-point type with the following notice:

"NOTICE"

"You may assert against the holder of the promissory note you signed in order to finance the cost of the educational program all of the claims and defenses that you could assert against this institution, up to the amount you have already paid under the promissory note."

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §27. (SB 1247)

94917. Enforceability of Loans

A note, instrument, or other evidence of indebtedness relating to payment for an educational program is void and not enforceable unless, at the time of execution of the note, instrument, or other evidence of indebtedness, the institution held an approval to operate or valid out-of-state registration with the bureau.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2022, Ch. 544, §11. (SB 1433)

94918. Compliance with Federal Truth in Lending Act

In making consumer loans to students, an institution shall also comply with the requirements of the Federal Truth in Lending Act pursuant to Title 15 of the United States Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94918.5. Limitations of article; Limitations of chapter

(a) The bureau's administration of this article or Article 13 (commencing with Section 94919) shall not preclude the authority of the Department of Financial Protection and Innovation over, and application of the California Consumer Financial Protection Law to, any "covered persons" as defined by subdivision (f) of Section 90005 of the Financial Code, including, but not limited to, private postsecondary educational institutions.

(b) Nothing in this chapter shall constitute regulation of an institution's financial product or service pursuant to subparagraph (B) of paragraph (2) of subdivision (a) of Section 90009 of the Financial Code, or shall otherwise be construed to limit the Department of Financial Protection and Innovation's jurisdiction with respect to an institution's financial product or service.

(c) An institution subject to this chapter shall not be considered "acting under the authority" of its status with the bureau pursuant to subdivision (a) of Section 90002 of the Financial Code when offering financial products or services.

Added by Stats. 2022, Ch. 544, §12. (SB 1433)

ARTICLE 13. Cancellations, Withdrawals, and Refunds

Article 13 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94919. Institution Participating in Federal Student Financial Aid Programs

(a) An institution that participates in the federal student financial aid programs complies with this article by complying with applicable regulations of the federal student financial aid programs under Title IV of the federal Higher Education Act of 1965.

(b) The institution shall advise each student that a notice of cancellation shall be in writing, and that a withdrawal may be effectuated by the student's written notice or by the student's conduct, including, but not necessarily limited to, a student's lack of attendance.

(c) The institution shall also provide a pro rata refund of nonfederal student financial aid program moneys paid for institutional charges to students who have completed 60 percent or less of the period of attendance.

(d) Institutions shall refund 100 percent of the amount paid for institutional charges, less a reasonable deposit or application fee not to exceed two hundred fifty dollars (\$250), if notice of cancellation is made through attendance at the first class session, or the seventh day after enrollment, whichever is later.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94920. Mandatory Cancellation, Withdrawal, and Refund Policies

An institution that does not participate in the federal student financial aid programs shall do all of the following:

(a) The institution shall advise each student that a notice of cancellation shall be in writing, and that a withdrawal may be effectuated by the student's written notice or by the student's conduct, including, but not necessarily limited to, a student's lack of attendance.

(b) Institutions shall refund 100 percent of the amount paid for institutional charges, less a reasonable deposit or application fee not to exceed two hundred fifty dollars (\$250), if notice of cancellation is made through attendance at the first class session, or the seventh day after enrollment, whichever is later.

(c) The bureau may adopt by regulation a different method of calculation for instruction delivered by other means, including, but not necessarily limited to, distance education.

(d) The institution shall have a refund policy for the return of unearned institutional charges if the student cancels an enrollment agreement or withdraws during a period of attendance. The refund policy for students who have completed 60 percent or less of the period of attendance shall be a pro rata refund.

(e) The institution shall pay or credit refunds within 45 days of a student's cancellation or withdrawal.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2011, Ch. 167, §2. (AB 1013)

94921. Alternative Refund Calculations

An institution offering an educational program for which the refund calculations set forth in this article cannot be utilized because of the unique way in which the educational program is structured, may petition the bureau for an alternative method of calculating tuition refunds.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94922. Student Waiver Prohibited

A student may not waive any provision of this article.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 14. Student Tuition Recovery Fund

Article 14 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94923. Purpose and Administration of the STRF

(a) The Student Tuition Recovery Fund relieves or mitigates economic loss suffered by a student while enrolled in an institution not exempt from this article pursuant to Article 4 (commencing with Section 94874), who, at the time of the student's enrollment, was a California resident or was enrolled in a California residency program, prepaid tuition, and suffered economic loss.

(b) (1) The bureau shall adopt, by regulation, procedures governing the administration and maintenance of the Student Tuition Recovery Fund. The fund shall be used to provide awards to students who suffer economic loss.

(2) The following students, and any other students deemed appropriate, are eligible for payment from the Student Tuition Recovery Fund:

(A) Any student who was enrolled at an institution, at a location of the institution, or in an educational program offered by the institution, at the time that institution, location, or program was closed or discontinued, as applicable, who did not choose to participate in a teach-out plan approved by the bureau or did not complete a chosen teach-out plan approved by the bureau.

(B) Any student who was enrolled at an institution or a location of the institution within the 120-day period before the closure of the institution or location of the institution, or who was enrolled in an educational program within the 120-day period before the program was discontinued.

(C) Any student who was enrolled at an institution or a location of the institution more than 120 days before the closure of the institution or location of the institution, in an educational program offered by the institution as to which the bureau determines there was a significant decline in the quality or value of the program more than 120 days before closure.

(D) A student to whom an institution has been ordered to pay a refund by the bureau but has failed to do so.

(E) A student to whom an institution has failed to pay or reimburse loan proceeds under a federal student loan program as required by law, or has failed to pay or reimburse proceeds received by the institution in excess of tuition and other costs.

(F) A student who has been awarded restitution, a refund, or other monetary award by an arbitrator or court, based on a violation of this chapter by an institution or representative of an institution, but who has been unable to collect the award from the institution. The bureau shall review the award or judgment and shall ensure the amount to be paid from the fund does not exceed the student's economic loss.

(G) Notwithstanding the definition of economic loss in subdivision (f), for purposes of recovery from the Student Tuition Recovery Fund, a student who has sought legal counsel that resulted in the cancellation of one or more student loans in connection with the student's Student Tuition Recovery Fund claim may seek reimbursement for legal services rendered in an amount up to five hundred dollars (\$500). The

bureau shall review the invoice of the legal services rendered and evidence of the cancellation of the student loan or loans, and upon verifying that cancellation, pay the claim directly to the student.

(3) Notwithstanding the requirement that a student attend an institution that is not exempt from this article as provided in subdivision (a), the following students who either were enrolled at a California campus of a Corinthian Colleges, Inc., institution or who were California students enrolled in an online program offered by an out-of-state campus of a Corinthian Colleges, Inc., institution are eligible for payment from the Student Tuition Recovery Fund:

(A) A student who meets one of the eligibility requirements in paragraph (2), if the student also was residing in California and was attending a campus of a Corinthian Colleges, Inc., institution on or after January 1, 2010.

(B) A student who was enrolled as of June 20, 2014, or withdrew within 120 days of that date, and did not complete the student's program at the institution.

(c) Any student who is required to pay a Student Tuition Recovery Fund assessment who pays tuition equal to or greater than the required assessment shall be deemed to have paid the required assessment, whether or not the student's enrollment agreement specifies collection of the required assessment, and whether or not the institution identifies any money collected from the student as a Student Tuition Recovery Fund assessment.

(d) A student who suffers educational opportunity losses, whose charges are paid by a third-party payer, is eligible for educational credits under the fund.

(e) The bureau may seek repayment to the Student Tuition Recovery Fund from an institution found in violation of the law for which a student claim was paid. An institution shall not be eligible to renew its approval to operate with the bureau if the repayment is not made to the bureau as requested.

(f) (1) For purposes of this section, "economic loss" includes, but is not limited to, any of the following:

(A) All cash or other consideration paid by the student to the institution.

(B) All expenses related to private or government student loans, including retail installment contracts made by the institution, paid to the student or to the institution in connection with the student's attendance at the institution, including related principal, interest, and any fees.

(C) All third-party payments, including government grants, paid to the student or to the institution in connection with the student's attendance at the institution.

(2) Economic loss does not include Student Tuition Recovery Fund assessments, unless the student is entitled to a full refund under Section 94919 or 94920, or nonpecuniary damages such as inconvenience, aggravation, emotional distress, or punitive damages. Economic loss does not include legal fees, attorney fees, court costs, or arbitration fees. This subdivision shall not prevent the bureau from further defining economic loss to include loss of educational opportunity.

(g) As a condition of the bureau satisfying a student loan obligation on behalf of a Student Tuition Recovery Fund applicant, the loan servicer or debtholder shall submit a letter stating that the servicer or holder will no longer collect on the debt and shall report the debt as "paid in full" to all credit reporting agencies. The bureau shall retain a copy of that letter and provide the original to the applicant.

(h) Except as provided in subdivision (i), the bureau shall require a student seeking reimbursement from the Student Tuition Recovery Fund to file a written application that shall be received by the bureau no later than four years after the date of the action that made the student eligible for recovery from the Student Tuition Recovery Fund.

(i) Any student whose loan is revived by a loanholder or debt collector after a period of noncollection by the holder or collector may, at any time, file a written application for recovery from the Student Tuition Recovery Fund for the debt that would have been otherwise eligible for recovery under this section.

(j) The bureau may use the moneys in the Student Tuition Recovery Fund to cover the costs of both of the following:

(1) Student Tuition Recovery Fund claim administration.

(2) Positions of the Office of Student Assistance and Relief.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §28. (SB 1247)

Amended by Stats. 2016, Ch. 593, §19. (SB 1192)

Amended by Stats. 2019, Ch. 521, §1. (AB 1346)

Amended by Stats. 2025, Ch. 9, §14. (AB 123)

94924. Assessments and Continuous Appropriation

(a) The bureau shall determine the amount of Student Tuition Recovery Fund assessments to be collected for each student.

(b) All assessments collected pursuant to this article shall be credited to the Student Tuition Recovery Fund, along with any accrued interest, for the purpose of this article. Notwithstanding Section 13340 of the Government Code, the moneys in the Student Tuition Recovery Fund are continuously appropriated to the bureau, without regard to fiscal year, for the purposes of this article.

(c) Except when an institution provides a full refund pursuant to Section 94919 or Section 94920, the Student Tuition Recovery Fund assessment is nonrefundable.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §29. (SB 1247)

94925. Limits on Amount in STRF Account

(a) The amount in the Student Tuition Recovery Fund shall not exceed twenty-five million dollars (\$25,000,000) at any time.

(b) If the bureau has temporarily stopped collecting the Student Tuition Recovery Fund assessments because the fund has approached the twenty-five million dollar (\$25,000,000) limit in subdivision (a), the bureau shall resume collecting Student Tuition Recovery Fund assessments when the fund falls below twenty million dollars (\$20,000,000).

(c) An otherwise eligible student who enrolled during a period when institutions were not required to collect Student Tuition Recovery Fund assessments is eligible for Student Tuition Recovery Fund payments despite not having paid any Student Tuition Recovery Fund assessment.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §30. (SB 1247)

ARTICLE 15. Orderly Institutional Closure and Teach-outs

Article 15 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94926. Procedures Prior to Closing, Teach-Out Plans

At least 30 days prior to closing, the institution shall notify the bureau in writing of its intention to close. The notice shall be accompanied by a closure plan, which shall include, but not necessarily be limited to, all of the following:

(a) A plan for providing teach-outs of educational programs, including any agreements with any other postsecondary educational institutions to provide teach-outs.

(b) If no teach-out plan is contemplated, or for students who do not wish to participate in a teach-out, arrangements for making refunds within 45 days from the date of closure, or for institutions that participate in federal student financial aid programs arrangements for making refunds and returning federal student financial aid program funds.

(c) If the institution is a participant in federal student financial aid programs, it shall provide students information concerning these programs and institutional closures.

(d) A plan for the disposition of student records.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94926.5. Automatic termination of approval to operate

(a) An institution's approval to operate is automatically terminated on the date of closure or when its exemption from this chapter has been verified by the bureau.

(b) An institution that does not identify a date of closure shall have one selected by the bureau.

(c) A terminated license shall not be reinstated.

Added by Stats. 2022, Ch. 544, §13. (SB 1433)

94927. Institutions in Default of Enrollment Agreement

An institution shall be considered in default of the enrollment agreement when an educational program is discontinued or canceled or the institution closes prior to completion of the educational program. When an institution is in default, student institutional charges may be refunded on a pro rata basis if the bureau determines that the school has made provision for students enrolled at the time of default to complete a comparable educational program at another institution at no additional charge to the students beyond the amount of the total charges in the original enrollment agreement. If the institution does not make that provision, a total refund of all institutional charges shall be made to students.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94927.5. Provision of Records to Bureau Prior to Closing

(a) Prior to closing, an institution shall provide the bureau with the following:

(1) Copies of pertinent student records, including transcripts, in hardcopy or electronic form, as determined by the bureau, pursuant to regulations adopted by the bureau.

(2) If the institution is an accredited institution, a plan for the retention of records and transcripts, approved by the institution's accrediting agency, that provides information as to how a student may obtain a transcript or any other information about the student's coursework and degrees completed.

(b) Subdivision (a) applies to all private postsecondary institutions, including institutions that are otherwise exempt from this chapter pursuant to Article 4 (commencing with Section 94874).

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2018, Ch. 422, §7. (SB 1492)

ARTICLE 16. Completion, Placement, Licensure, and Salary Disclosure

Article 16 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94928. Definitions

As used in this article, the following terms have the following meanings:

(a) "Cohort population" means the number of students that began a program on a cohort start date.

(b) "Cohort start date" means the first class day after the cancellation period during which a cohort of students attends class for a specific program.

(c) "On-time graduates" means the number of students who complete a program within 100 percent of the published program length. An institution may separately state completion information for students completing the program within 150 percent of the original contracted time, but that information may not replace completion information for students completing within the original scheduled time. Completion information shall be separately stated for each campus or branch of the institution.

(d) "Graduates available for employment" means the number of graduates minus the number of graduates unavailable for employment.

(e) (1) "Graduates employed in the field" means graduates who are gainfully employed in a single position for which the institution represents the program prepares its graduates, beginning within six months after a student completes the applicable educational program. For occupations for which the state requires passing an examination, the period of employment shall begin within six months of the announcement of the examination results for the first examination available after a student completes an applicable educational program.

(2) The bureau shall define by July 1, 2014, specific measures and standards for determining whether a student is gainfully employed in a full-time or part-time position for which the institution represents the program prepares its graduates, including self-employment or conducting freelance work, and may set the standards for the hours per week and duration of employment and utilize any job classification

methodology the bureau determines appropriate for this purpose, including, but not limited to, the United States Department of Labor's Standard Occupational Classification codes.

(3) This subdivision shall not prohibit the bureau from authorizing an institution to aggregate single positions held by a graduate for purposes of meeting the hours per week standards established by the bureau.

(f) "Graduates unavailable for employment" means graduates who, after graduation, die, become incarcerated, are called to active military duty, are international students that leave the United States or do not have a visa allowing employment in the United States, or are continuing their education at an accredited or bureau-approved postsecondary institution.

(g) "Students available for graduation" means the cohort population minus the number of students unavailable for graduation.

(h) "Students unavailable for graduation" means students who have died, been incarcerated, or called to active military duty.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2012, Ch. 585, §6. (AB 2296)

Amended by Stats. 2015, Ch. 258, §1. (SB 410)

94929. Reporting of Completion Rate

(a) An institution shall annually report to the bureau, as part of the annual report, and publish in its School Performance Fact Sheet, the completion rate for each program. Except as provided in subdivision (b), the completion rate shall be calculated by dividing the number of on-time graduates by the number of students available for graduation.

(b) In lieu of calculating graduation data pursuant to subdivision (a), an institution may report graduation data reported to, and calculated by, the Integrated Postsecondary Education Data System of the United States Department of Education.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2015, Ch. 258, §2. (SB 410)

94929.5. Reporting of Student Performance Data

(a) An institution shall annually report to the bureau, as part of the annual report, and shall publish in its School Performance Fact Sheet, all of the following:

(1) The job placement rate, calculated by dividing the number of graduates employed in the field by the number of graduates available for employment for each program that is either (1) designed, or advertised, to lead to a particular career, or (2) advertised or promoted with any claim regarding job placement.

(2) The license examination passage rates for the immediately preceding two years for programs leading to employment for which passage of a state licensing examination is required, calculated by dividing the number of graduates who pass the examination by the number of graduates who take the licensing

examination the first time that the examination is available after completion of the educational program. The institution shall use state agency licensing data to calculate license examination passage rates. If those data are unavailable, the institution shall calculate the license examination passage rate in a manner consistent with regulations adopted by the bureau.

(3) Salary and wage information, consisting of the total number of graduates employed in the field and the annual wages or salaries of those graduates stated in increments of five thousand dollars (\$5,000).

(4) If applicable, the most recent official three-year cohort default rate reported by the United States Department of Education for the institution and the percentage of enrolled students receiving federal student loans.

(b) Nothing in this section shall limit the bureau's authority to collect information from an institution to comply with this section and ensure, by regulation and other lawful means, that the information required by this section, and the manner in which it is collected and reported, is all of the following:

(1) Useful to students.

(2) Useful to policymakers.

(3) Based upon the most credible and verifiable data available.

(4) Does not impose undue compliance burdens on an institution.

(c) Data and information disclosed pursuant to paragraphs (1) to (3), inclusive, of subdivision (a) is not required to include students who satisfy the qualifications specified in subdivision (d) of Section 94909, but an institution shall disclose on its fact sheet and to the bureau whether its data, information, or both, excludes any students pursuant to this subdivision.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2012, Ch. 585, §7. (AB 2296)

Amended by Stats. 2014, Ch. 840, §31. (SB 1247)

94929.7. Documentation of Performance Data

(a) The information used to substantiate the rates and information calculated pursuant to Sections 94929 and 94929.5 shall do both of the following:

(1) Be documented and maintained by the institution for five years from the date of the publication of the rates and information.

(2) Be retained in an electronic format and made available to the bureau upon request.

(b) An institution shall provide a list of employment positions used to determine the number of graduates employed in the field for purposes of calculating job placement rates pursuant to this article.

(c) The bureau shall identify the specific information that an institution is required to document and maintain to substantiate rates and information pursuant to this section.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2012, Ch. 585, §8. (AB 2296)

94929.8. Uniform Data Reporting Regulations, Material Violation

(a) On or before January 1, 2011, and pursuant to Section 94877, the bureau shall establish, by regulation, a uniform method for institutions to obtain statistically valid, current, and representative data to comply with this article.

(b) A violation of the regulations adopted pursuant to subdivision (a) is a material violation of this chapter.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94929.9. Consideration of Reporting Requirements

(a) The bureau shall consider the graduate salary and other outcome data and reporting requirements that are utilized by the United States Department of Education, the Student Aid Commission, accrediting agencies, and student advocate associations. The bureau shall consider the reporting requirements of public postsecondary institutions in California to evaluate the feasibility of adopting these reporting requirements for private postsecondary institutions. The bureau shall make recommendations to the Legislature, on or before December 31, 2016, on how reporting requirements under this chapter should be altered to ensure accurate, useful, and consistent reporting by private postsecondary institutions to the bureau and students.

(b) The bureau is authorized to enter into a personal services contract with an appropriate independent contractor to assist in the evaluation required by subdivision (a). In this connection, the Legislature finds, pursuant to Section 19130 of the Government Code, that this is a new state function.

(c) (1) A report to be submitted to the Legislature pursuant to subdivision (a) shall be submitted in compliance with Section 9795 of the Government Code.

(2) Pursuant to Section 10231.5 of the Government Code, this section is repealed January 1, 2017.

Added by Stats. 2014, Ch. 840, §32. (SB 1247)

ARTICLE 17. Fees

Article 17 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94930. Deposit of Fees, Adjustment of Fees, Reserve Balance

(a) All fees collected pursuant to this article, including any interest on those fees, shall be deposited in the Private Postsecondary Education Administration Fund, and shall be available, upon appropriation by the Legislature, for expenditure by the bureau for the administration of this chapter.

(b) If the bureau determines by regulation that the adjustment of the fees established by this article is consistent with the intent of this chapter, the bureau may adjust the fees. However, the bureau shall not maintain a reserve balance in the Private Postsecondary Education Administration Fund in an amount that is greater than the amount necessary to fund six months of authorized operating expenses of the bureau in any fiscal year.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94930.5. Fee Schedule

Subject to Section 94930, an institution shall remit to the bureau for deposit in the Private Postsecondary Education Administration Fund the following fees, in accordance with the following schedule:

(a) The following fees shall be remitted by an institution submitting an application for an approval to operate, if applicable:

(1) Application fee for an approval to operate: five thousand dollars (\$5,000).

(2) Application fee for the approval to operate a new branch of the institution: three thousand dollars (\$3,000).

(3) Application fee for an approval to operate by means of accreditation: seven hundred fifty dollars (\$750).

(b) The following fees shall be remitted by an institution seeking a renewal of its approval to operate, if applicable:

(1) Renewal fee for the main campus of the institution: three thousand five hundred dollars (\$3,500).

(2) Renewal fee for a branch of the institution: three thousand dollars (\$3,000).

(3) Renewal fee for an institution that is approved to operate by means of accreditation: five hundred dollars (\$500).

(c) The following fees shall apply to an institution seeking authorization of a substantive change to its approval to operate, if applicable:

(1) Processing fee for authorization of a substantive change to an approval to operate: five hundred dollars (\$500).

(2) Processing fee in connection with a substantive change to an approval to operate by means of accreditation: two hundred fifty dollars (\$250).

(d) (1) In addition to any fees paid to the bureau pursuant to subdivisions (a) to (c), inclusive, each institution that is approved to operate pursuant to this chapter shall remit both of the following:

(A) An annual fee for each campus designated by the institution as a main campus location in California, in an amount equal to 0.45 percent of the campus' total gross revenue derived from students in California, but not to be less than two thousand five hundred dollars (\$2,500) and not to exceed sixty thousand dollars (\$60,000).

(B) An annual campus fee for each branch of the institution in an amount equal to 0.45 percent of the branch's total gross revenue derived from students in California, but not to be less than two thousand five hundred dollars (\$2,500) and not to exceed sixty thousand dollars (\$60,000).

(2) The amount of the annual fees pursuant to paragraph (1) shall be proportional to the bureau's cost of regulating institutions under this chapter, but shall not exceed seven hundred fifty thousand dollars (\$750,000) for any institution.

(e) The bureau may assess both of the following fees, if applicable:

(1) An out-of-state institution registration fee in an amount of one thousand five hundred dollars (\$1,500).

(2) A request for inactive status fee in an amount of five hundred dollars (\$500).

(f) It is the intent of the Legislature that the fees established pursuant to this section be evaluated during the 2017–18 state budget process and, if necessary, adjusted by subsequent legislation based upon information provided to the Legislature by the department and the bureau.

(g) Notwithstanding subdivision (d), effective July 1, 2018, the annual fee for each campus described in subparagraphs (A) and (B) of paragraph (1) of subdivision (d) shall be in an amount equal to 0.55 percent of that campus' total gross revenue derived from students in California, but not to be less than two thousand five hundred dollars (\$2,500) and not to exceed sixty thousand dollars (\$60,000) for each campus.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §33. (SB 1247)

Amended by Stats. 2016, Ch. 593, §20. (SB 1192)

94931. Late Payment

(a) A fee that is not paid on or before the 30th calendar day after the due date for the payment of the fee shall be subject to a 25 percent late payment penalty fee.

(b) A fee that is not paid on or before the 90th calendar day after the due date for payment of the fee shall be subject to a 35 percent late payment penalty fee.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94931.5. Proposed Modifications to Fees, Publishing Fee Schedule

(a) The bureau may propose modifications to the fee schedule in Section 94930.5 to the Governor and the Legislature to add or delete categories of fees related to work performed by the bureau and propose to the Governor and the Legislature the maximum amount to be charged for each fee category added to the fee schedule. The fee schedule shall provide adequate resources for the bureau to effectively implement this chapter.

(b) The bureau shall annually publish a schedule of the current fees to be charged pursuant to this article and shall make this schedule available to the public.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 18. Compliance, Enforcement, Process, and Penalties

Article 18 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94932. Enforcement Authority

The bureau shall determine an institution's compliance with the requirements of this chapter. The bureau shall have the power to require reports that institutions shall file with the bureau in addition to the annual report, to send staff to an institution's sites, and to require documents and responses from an institution to monitor compliance. When the bureau has reason to believe that an institution may be out of compliance, it shall conduct an investigation of the institution. If the bureau determines, after completing a compliance inspection or investigation, that an institution has violated any applicable law or regulation, the bureau shall take appropriate action pursuant to this article.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §21. (SB 1192)

94932.5. Announced and Unannounced Compliance Inspections

(a) As part of its compliance program, the bureau shall perform announced and unannounced inspections of institutions at least every five years.

(b) On or before January 1, 2017, the bureau shall adopt regulations setting forth policies and practices to ensure that student protections are the highest priority of inspections and that inspections are conducted based on risk and potential harm to students. The regulations shall also set forth policies and practices for providing notice to students enrolled at an institution of the results of each inspection of the institution.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §34. (SB 1247)

94933. Administration of Enforcement

The bureau shall provide an institution with the opportunity to remedy noncompliance, impose fines, place the institution on probation, or suspend or revoke the institution's approval to operate, in accordance with this article, as it deems appropriate based on the severity of an institution's violations of this chapter, and the harm that results or may result to students.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2022, Ch. 544, §14. (SB 1433)

94933.5. Alternative Dispute Resolution

As much as is practicable, the bureau shall seek to resolve instances of noncompliance, including the use of alternative dispute resolution procedures in Article 5 (commencing with Section 11420.10) of Chapter 4.5 of Part 1 of Division 3 of Title 2 of the Government Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94934. Annual Report

(a) As part of the compliance program, an institution shall submit an annual report to the bureau, under penalty of perjury, signed by a responsible corporate officer, by July 1 of each year, or another date designated by the bureau, and it shall include the following information for educational programs offered in the reporting period:

- (1) The total number of students enrolled by level of degree or for a diploma.
 - (2) The number of degrees, by level, and diplomas awarded.
 - (3) The degree levels and diplomas offered.
 - (4) The School Performance Fact Sheet, as required pursuant to Section 94910.
 - (5) The school catalog, as required pursuant to Section 94909.
 - (6) The total charges for each educational program by period of attendance.
 - (7) A statement indicating whether the institution is, or is not, current in remitting Student Tuition Recovery Fund assessments.
 - (8) A statement indicating whether an accrediting agency has taken any final disciplinary action against the institution.
 - (9) Additional information deemed by the bureau to be reasonably required to ascertain compliance with this chapter.
- (b) The bureau, by January 1, 2011, shall prescribe the annual report's format and method of delivery.
- (c) (1) By July 1, 2019, or another date designated by the bureau, and in each year thereafter, each institution approved to operate by the bureau, that offers specified certificates or degrees related to allied health professionals that require clinical training, shall include in the report submitted pursuant to subdivision (a) clinical placement data delineated by program and occupation. The report shall include all of the following:
- (A) The number of students participating at each clinical training site. This shall include information about proficiency in languages other than English.
 - (B) Whether any donation, money, compensation, or exchange of consideration was offered or provided to the business, nonprofit, or other organization, clinic, hospital, or other location where the student was placed and, if so, the amount.
 - (C) The license number of each clinical training site. If the license number is not available, the report shall include the employer identification number of the clinical training site.
- (2) The collection and reporting of findings pursuant to paragraph (1) will be implemented over multiple years, and collected by the bureau as follows:

(A) By the 2019–20 fiscal year, or another date designated by the bureau, each institution approved to operate by the bureau shall include in the report submitted pursuant to subdivision (a), the following allied healthcare professional degrees and certificates:

- (i) Licensed Vocational Nurse.
- (ii) Medical Assistant.
- (iii) Occupational Therapy Aide.
- (iv) Radiologic Technologist.
- (v) Respiratory Care Therapist.
- (vi) Pharmacy Technician and Technologist.
- (vii) Surgical Technician and Technologist.

(B) By the 2020–21 fiscal year, or another date designated by the bureau, each institution approved to operate by the bureau shall include in the report submitted pursuant to subdivision (a), the following allied healthcare professional degrees and certificates:

- (i) Cardiovascular Technologist.
- (ii) Certified Nurse Assistant.
- (iii) Dialysis Technician.
- (iv) Diagnostic Medical Sonographer.
- (v) Medical Lab Technician.
- (vi) Orthopedic Assistant.
- (vii) Physical Therapy Aide and Assistant.
- (viii) Psychiatric Technologist.
- (ix) Radiologic Therapist.
- (x) Speech Language Pathology Aide.

(C) By the 2021–22 fiscal year, and in each fiscal year thereafter, each institution approved to operate by the bureau shall include in the report submitted pursuant to subdivision (a), all certificates or degrees related to allied health professionals that require clinical training.

(D) Any disclosure under this section shall be in compliance with state and federal privacy laws.

(E) For the purposes of this subdivision, “allied health professional” has the same meaning as in Section 295p of Title 42 of the United States Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2018, Ch. 901, §2. (SB 1348)

94934.5. Notice of Investigation of Institution

(a) An institution with an approval to operate that knows that it is being investigated by an oversight entity other than the bureau shall report that investigation, including the nature of that investigation, to the bureau within 30 days of the institution's first knowledge of the investigation. An institution with an approval to operate that is the subject of a judgment by, a regulatory action by, increased oversight or monitoring by, or a settlement with, any oversight entity other than the bureau shall report it to the bureau within 30 days. Failure to comply with this section may subject the institution to an administrative citation pursuant to Section 94936.

(b) For the purposes of this section, "investigation" means any inquiry into possible violations of any applicable laws or accreditation standards.

(c) For the purposes of this section, "oversight entity" means all of the following:

(1) Any government agency.

(2) Any accrediting agency.

(3) Any professional licensing entity that exercises any programmatic or institutional approval over the institution.

Added by Stats. 2016, Ch. 593, § 22. (SB 1192)

Amended by Stats. 2022, Ch. 544, §15. (SB 1433)

94935. Notice to Comply

(a) Bureau staff who, during an inspection of an institution, detect a violation of this chapter, or regulations adopted pursuant to this chapter, that is a minor violation as determined by the bureau, pursuant to regulations adopted by January 1, 2011, shall issue a notice to comply at the conclusion of the inspection. The bureau shall establish a voluntary informal appeal process, by regulation, within one year of the enactment of this chapter.

(b) An institution that receives a notice to comply shall have no more than 30 days from the date of inspection to remedy the noncompliance.

(c) Upon achieving compliance, the institution shall sign and return the notice to comply to the bureau.

(d) A single notice to comply shall be issued listing separately all the minor violations cited during the inspection.

(e) A notice to comply shall not be issued for any minor violation that is corrected before the conclusion of the inspection. Immediate compliance may be noted in the inspection report, but the institution shall not be subject to any further action by the bureau.

(f) A notice to comply shall be the only means the bureau shall use to cite a minor violation discovered during an inspection. The bureau shall not take any other enforcement action specified in this chapter against an institution that has received a notice to comply if the institution remedies the violation within 30 days from the date of the inspection.

(g) If an institution that receives a notice to comply pursuant to subdivision (a) disagrees with one or more of the alleged minor violations listed in the notice to comply, an institution shall send the bureau a written notice of disagreement. The agency may take administrative enforcement action to seek compliance with the requirements of the notice to comply.

(h) If an institution fails to comply with a notice to comply within the prescribed time, the bureau shall take appropriate administrative enforcement action.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2022, Ch. 544, §16. (SB 1433)

94936. Administrative Citations

(a) As a consequence of an investigation, which may incorporate any materials obtained or produced in connection with a compliance inspection, and upon a finding that the institution has committed a violation of this chapter or that the institution has failed to comply with a notice to comply pursuant to Section 94935, the bureau shall issue a citation to an institution for violation of this chapter, or regulations adopted pursuant to this chapter.

(b) The citation may contain any of the following:

(1) An order of abatement that may require an institution to demonstrate how future compliance with this chapter or regulations adopted pursuant to this chapter will be accomplished.

(2) Notwithstanding Section 125.9 of the Business and Professions Code, an administrative fine not to exceed five thousand dollars (\$5,000) for each violation. The bureau shall base its assessment of the administrative fine on:

(A) The nature and seriousness of the violation.

(B) The persistence of the violation.

(C) The good faith of the institution.

(D) The history of previous violations.

(E) The purposes of this chapter.

(F) The potential harm to students.

(3) An order to compensate students for harm that resulted or may have resulted, including a refund of moneys paid to the institution by or on behalf of the student, as determined by the bureau.

(c) (1) The citation shall be in writing and describe the nature of the violation and the specific provision of law or regulation that is alleged to have been violated.

(2) The citation shall inform the institution of its right to request a hearing in writing within 30 days from service of the citation.

(3) If a hearing is requested, the bureau shall select an informal hearing pursuant to Article 10 (commencing with Section 11445.10) of Chapter 4.5 of Part 1 of Division 3 of Title 2 of the Government Code or a formal hearing pursuant to Chapter 5 (commencing with Section 11500) of Part 1 of Division 3 of Title 2 of the Government Code.

(4) If a hearing is not requested, payment of the administrative fine is due 30 days from the date of service, and shall not constitute an admission of the violation charged.

(5) If a hearing is conducted and payment of an administrative fine is ordered, the administrative fine is due 30 days from when the final order is entered.

(6) The bureau may enforce the administrative fine as if it were a money judgment pursuant to Title 9 (commencing with Section 680.010) of Part 2 of the Code of Civil Procedure.

(d) All administrative fines shall be deposited in the Private Postsecondary Education Administration Fund.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §23. (SB 1192)

Amended by Stats. 2022, Ch. 544, §17. (SB 1433)

94937. Probation, Revocation, Cost Recovery

(a) As a consequence of an investigation, which may incorporate any materials obtained or produced in connection with a compliance inspection, and upon a finding that an institution has committed a violation, the bureau may place an institution on probation or may suspend or revoke an institution's approval to operate for:

(1) Obtaining an approval to operate by fraud.

(2) A material violation or repeated violations of this chapter or regulations adopted pursuant to this chapter that have resulted, or may result, in harm to students. For purposes of this paragraph, "material violation" includes, but is not limited to, misrepresentation, fraud in the inducement of a contract, and false or misleading claims or advertising, upon which a student reasonably relied in executing an enrollment agreement and that resulted, or may result, in harm to the student.

(b) The bureau shall adopt regulations, within one year of the enactment of this chapter, governing probation and suspension of an approval to operate.

(c) The bureau may seek reimbursement pursuant to Section 125.3 of the Business and Professions Code.

(d) An institution shall not be required to pay the cost of investigation to more than one agency.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §24. (SB 1192)

Amended by Stats. 2021, Ch. 552, §10. (SB 802)

94938. Emergency Decision

(a) If the bureau determines that it needs to make an emergency decision to protect students, prevent misrepresentation to the public, or prevent the loss of public funds or moneys paid by students, it may

do so pursuant to Article 13 (commencing with Section 11460.10) of Chapter 4.5 of Part 1 of Division 3 of Title 2 of the Government Code.

(b) The bureau shall, by January 1, 2011, adopt regulations to give this section effect pursuant to Section 11460.20 of the Government Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94939. Action for Equitable Relief

(a) The bureau may bring an action for equitable relief for any violation of this chapter. The equitable relief may include restitution, a temporary restraining order, the appointment of a receiver, and a preliminary or permanent injunction. The action may be brought in the county in which the defendant resides or in which any violation has occurred or may occur.

(b) The remedies provided in this section supplement, and do not supplant, the remedies and penalties under other provisions of law.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94940. Hearings

As consequence of an adverse administrative action against an institution, the institution may request a hearing pursuant to Article 10 (commencing with Section 11445.10) of Chapter 4.5 or Chapter 5 (commencing with Section 11500) of Part 1 of Division 3 of Title 2 of the Government Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94941. Complaints, Investigations

(a) An individual who has cause to believe that an institution has violated this chapter, or regulations adopted pursuant to this chapter, may file a complaint with the bureau against the institution. The complaint shall set forth the alleged violation, and shall contain any other information as may be required by the bureau.

(b) To ensure that the bureau's resources are maximized for the protection of the public, the bureau, in consultation with the advisory committee, shall establish priorities for its inspections and other investigative and enforcement resources to ensure that institutions representing the greatest threat of harm to the greatest number of students are identified and disciplined by the bureau or referred to the Attorney General.

(c) In developing its priorities for inspection, investigation, and enforcement regarding institutions, the bureau shall consider as posing heightened risks the characteristics of the following institutions:

(1) An institution that receives significant public resources, including an institution that receives more than 70 percent of its revenues from federal financial aid, state financial aid, financial aid for veterans, and other public student aid funds.

(2) An institution with a large number of students defaulting on their federal loans, including an institution with a three-year cohort default rate above 15.5 percent.

(3) An institution with reported placement rates, completion rates, or licensure rates in an educational program that are far higher or lower than comparable educational institutions or programs.

(4) An institution that experiences a dramatic increase in enrollment, recently expanded educational programs or campuses, or recently consolidated campuses.

(5) An institution that offers only nonremedial educational program courses in English, but enrolls students with limited or no English language proficiency.

(6) An institution that has experienced a recent change of ownership or control, or a change in the business organization of the institution.

(7) An institution with audited financial statements that do not satisfy the bureau's requirements for financial stability.

(8) An institution that has recently been the subject of an investigation, judgment, or regulatory action by, or a settlement with, a governmental agency.

(9) An institution that experiences institutional or programmatic accreditation restriction by an accreditor, government restriction of, or injunction against, its approval to operate, or placement on cash-reimbursement or heightened monitoring status by the United States Department of Education.

(d) The bureau shall indicate in an annual report, to be made publicly available on its internet website, the number of temporary restraining orders, interim suspension orders, and disciplinary actions taken by the bureau, disaggregated by each priority category established pursuant to subdivision (b).

(e) The bureau shall, in consultation with the advisory committee, adopt regulations to establish categories of complaints or cases that are to be handled on a priority basis. The priority complaints or cases shall include, but not be limited to, those alleging unlawful, unfair or fraudulent business acts or practices, including unfair, deceptive, untrue, or misleading statements, including all statements made or required to be made pursuant to the requirements of this chapter, related to any of the following:

(1) Degrees, educational programs, or internships offered, the appropriateness of available equipment for a program, or the qualifications or experience of instructors.

(2) Job placement, graduation, time to complete an educational program, or educational program or graduation requirements.

(3) Loan eligibility, terms, whether the loan is federal or private, or default or forbearance rates.

(4) Passage rates on licensing or certification examinations or whether an institution's degrees or educational programs provide students with the necessary qualifications to take these exams and qualify for professional licenses or certifications.

(5) Cost of an educational program, including fees and other nontuition charges.

(6) Affiliation with or endorsement by any government agency, or by any organization or agency related to the Armed Forces, including, but not limited to, groups representing veterans.

(7) Terms of withdrawal and refunds from an institution.

(8) Payment of bonuses, commissions, or other incentives offered by an institution to its employees or contractors.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §35. (SB 1247)

Amended by Stats. 2023, Ch. 510, §102 (SB 887)

94942. Complaint Intake

(a) The bureau shall establish a toll-free telephone number staffed by a bureau employee by which a student or a member of the public may file a complaint under this chapter.

(b) The bureau shall make a complaint form available on its internet website. The bureau shall permit students and members of the public to file a complaint under this chapter through the bureau's internet website.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2023, Ch. 510, §103 (SB 887)

94943. Public Offenses

The following violations of this chapter are public offenses:

(a) Knowingly operating a private postsecondary institution without an approval to operate is an infraction subject to the procedures described in Sections 19.6 and 19.7 of the Penal Code.

(b) Knowingly providing false information to the bureau on an application for an approval to operate is an infraction subject to the procedures described in Sections 19.6 and 19.7 of the Penal Code.

(c) Knowingly submitting, to the bureau, false information that is required to be reported pursuant to Article 16 (commencing with Section 94928) is an infraction subject to the procedures described in Sections 19.6 and 19.7 of the Penal Code.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94943.5. Agent for Service of Process

An institution shall designate and maintain an agent for service of process within this state, and provide the name, address, and telephone number of the agent to the bureau. The bureau shall furnish the agent's name, address, and telephone number to a person upon request.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94944. Fine for Unlicensed Activity

Notwithstanding any other law, the bureau shall cite any person, and that person shall be subject to a fine not to exceed one hundred thousand dollars (\$100,000), for operating an institution without proper approval to operate issued by the bureau pursuant to this chapter. The maximum fine for unlicensed activity is separate and not inclusive of fines for other violations or refunds ordered.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2016, Ch. 593, §25. (SB 1192)

Amended by Stats. 2022, Ch. 544, §18. (SB 1433)

94944.5. Inspection of Accrediting Documents

Each institution subject to this chapter shall be deemed to have authorized its accrediting agency to provide the bureau, the Attorney General, any district attorney, city attorney, or the Student Aid Commission, within 30 days of written notice, copies of all documents and other material concerning the institution that are maintained by the accrediting agency.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94944.6. Compliance by Accrediting Agencies

Within 30 days of receiving a written notice from the bureau, the Attorney General, district attorney, city attorney, or the Student Aid Commission pursuant to Section 94944.5, an accrediting agency shall provide the requesting entity with all documents or other material concerning an institution accredited by that agency that are designated specifically or by category in the written notice.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

94945. Application with Other Laws, Authorities

(a) This chapter does not limit or preclude the enforcement of rights or remedies under any other applicable statute or law.

(b) This chapter does not limit or preclude the Attorney General, a district attorney, or a city attorney from taking any action otherwise authorized under any other applicable statute or law.

(c) If the bureau has reason to believe that an institution has engaged in a pattern or practice of violating the provisions of this chapter or any other applicable law that involves multiple students or other claimants, the bureau shall contract with the Attorney General for investigative and prosecutorial services, as necessary.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §36. (SB 1247)

ARTICLE 19. Severability

Article 19 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94946. Severability of Chapter

The provisions of this chapter are severable. If any provision of this chapter or its application is held invalid, that invalidity shall not affect other provisions or applications that can be given effect without the invalid provision or application.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

ARTICLE 20. Reporting

Article 20 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94948. Reports to the Legislature

In addition to any other reporting requirements under this chapter, the director shall provide written updates to the Legislature every six months and shall participate in all oversight hearings conducted by the appropriate policy committees and budget subcommittees of the Senate and Assembly. The updates shall describe the bureau's progress in protecting consumers and enforcing the provisions of this chapter and shall include, but not be limited to, all of the following information received pursuant to Section 325 of the Business and Professions Code:

- (a) The total number of student complaints received.
- (b) The general nature of these complaints.
- (c) The outcome of these student complaints.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2014, Ch. 840, §38. (SB 1247)

Amended by Stats. 2016, Ch. 593, §26. (SB 1192)

94949. Independent Review Report

(a) The director shall provide to the Legislature a copy of an independent review of the bureau's staffing resources needs and requirements no later than March 15, 2015. The director shall include with this report an overview of how the director intends to ensure that the bureau's staff are sufficiently qualified for purposes of implementing the provisions of this chapter, and the estimated costs of meeting staffing and other requirements to implement this chapter based on findings of the independent review. The director shall include a brief evaluation of whether the current fee structure is appropriate to satisfy those staffing and other requirements.

(b) (1) A report to be submitted pursuant to subdivision (a) shall be submitted in compliance with Section 9795 of the Government Code.

(2) Pursuant to Section 10231.5 of the Government Code, this section is repealed on January 1, 2017.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2010, Ch. 719, §10. (SB 856)

Amended by Stats. 2012, Ch. 281, §2. (SB 1395)

Repealed by Stats. 2014, Ch. 840, §39. (SB 1247)

Added by Stats. 2014, Ch. 840, §40. (SB 1247)

ARTICLE 20.6. Office of Student Assistance and Relief

Article 20.6 Added by Stats. 2016, Ch. 593, § 27. (SB 1192)

94949.7. Office of Student Assistance and Relief (OSAR)

There is hereby established an Office of Student Assistance and Relief for the purpose of advancing and promoting the rights of prospective students, current students, or past students of private postsecondary educational institutions.

Added by Stats. 2016, Ch. 593, §27. (SB 1192)

94949.71. OSAR Chief

(a) The duties of the office shall be vested in a chief, who shall be appointed by the director. The chief, and each staff employee of the office, shall have experience and expertise, commensurate with their position, advocating on behalf of students and consumers and shall have knowledge in the state and federal laws governing student protection, student financial aid and loan programs, and the policies and practices of private postsecondary educational institutions.

(b) For purposes of this article, “office” means the Office of Student Assistance and Relief.

Added by Stats. 2016, Ch. 593, §27. (SB 1192)

Amended by Stats. 2024, Ch. 497, §90. (SB 1526)

94949.72. Duties of OSAR

Duties of the office shall include all of the following:

(a) Conducting outreach and providing information and assistance to students who have been affected by the unlawful activities or closure of an institution regarding their rights under state and federal law, including information about how and where to file a complaint, and to ensure that those students successfully access available state and federal relief programs. No later than July 1, 2017, the office shall prioritize and immediately conduct the activities outlined in Section 94949.73.

(b) Serving as a primary point of contact to address the needs of private postsecondary education students and working in consultation with state and federal agencies, including, but not limited to, the Student Aid Commission, the Office of the Chancellor of the California Community Colleges, the Department of Veterans Affairs, the federal Consumer Financial Protection Bureau, and the United States Department of Education.

(c) The office may also conduct both of the following activities:

(1) Provide outreach to students and prospective students to provide them with, among other information, information on making informed decisions in selecting postsecondary educational institutions, student rights regarding school performance disclosures, enrollment agreements, and cancellation and refund policies, how to contact the office and the bureau for assistance, student loan rights and assistance, and free nonprofit community based resources.

(2) Conduct data and information research concerning industry trends and enforcement actions from various sources, including, but not limited to, annual reports provided to the bureau pursuant to Section 94934, the United States Department of Education, accrediting agencies, and the California Department of Veterans Affairs to help determine the trends and potential violations of the act. The office shall advise the director and bureau chief of its findings.

(d) The office shall provide, pursuant to Section 9795 of the Government Code, to the Legislature an annual written update regarding the office's progress in protecting students and conducting the duties of the office.

Added by Stats. 2016, Ch. 593, §27. (SB 1192)

94949.73. OSAR: Services and Reports

(a) The office shall provide individualized assistance to students to relieve or mitigate the economic and educational opportunity loss incurred by those students who attended a Corinthian Colleges, Inc., institution or other eligible institution.

(b) Specific services provided by the office shall include all of the following:

(1) Outreach and education to students regarding the assistance available from the office.

(2) Screening requests for assistance received by the office and providing individualized assistance to help students determine their relief eligibility, identify and obtain necessary documents, complete and submit applications, and provide additional services as necessary.

(c) For purposes of this section, "other eligible institution" means an institution identified by the office whose unlawful activities or closure has resulted in its students being eligible for repayment from the Student Tuition Recovery Fund, debt relief from the United States Department of Education, or other student financial aid relief.

(d) (1) The office shall quarterly report by posting on the bureau's internet website, through September 1, 2018, on all of the following:

(A) A summary of the outreach and education activities conducted by the office pursuant to the requirements of paragraph (1) of subdivision (b) and the number of students served from Corinthian Colleges, Inc., institutions and every other eligible institution.

(B) A detailed summary of services provided to those students, as follows:

(i) The number of students assisted with submitting Student Tuition Recovery Fund claims to the bureau by the office, and of the claims submitted, the number that are pending, on appeal, or have been approved or denied. For the claims that have been approved, the office shall report the amount of student loans canceled, the total of student loans paid off, the total amount of cash reimbursed to students, and the total amount of educational credit granted.

(ii) The number of students assisted with submitting federal loan forgiveness claims, and of the claims submitted, the number of those claims that are pending, on appeal, or have been approved or denied.

For the claims that have been approved, the office shall report the estimated total in student loans canceled and the total amount of funds refunded to students.

(iii) The number of students assisted with private student loan relief, other than through Student Tuition Recovery Fund claims, and a summary of assistance provided and relief outcomes obtained.

(iv) The number of students whom the office helped to obtain income-dependent repayment plans on their federal loans, and of those students, the number of students helped out of default on the federal loans through consolidation or rehabilitation.

(2) The office shall provide, pursuant to Section 9795 of the Government Code, the Legislature, the department, and the bureau a final report summarizing the information submitted pursuant to paragraph (1) by January 1, 2019.

Added by Stats. 2016, Ch. 593, §27. (SB 1192)

Amended by Stats. 2023, Ch. 510, §104. (SB 887)

94949.8. Public institution of higher education operated by another state with physical presence in this state; Application for approval to operate

(a) An institution that qualifies as a public institution of higher education pursuant to subdivision (b) of Section 94858.5, that is operated by another state, and that maintains a physical presence in this state may apply for an approval to operate from the bureau.

(b) (1) With regard to a public institution of higher education approved pursuant to this section, the bureau shall administer and enforce this chapter, and the regulations adopted pursuant to this chapter, in the same manner and to the same extent as if such institutions were private postsecondary educational institutions, as defined in Section 94858.

(2) A public institution of higher education approved pursuant to this section is subject to the provisions of, and the regulations adopted pursuant to, this chapter in the same manner and to the same extent as if it was a private postsecondary educational institution, as defined in Section 94858, including the provisions related to fees, annual reports, compliance inspections, and the Student Tuition Recovery Fund.

(3) Approval of a public institution of higher education pursuant to this section does not, in and of itself, qualify the institution for participation in the Cal Grant Program established pursuant to Chapter 1.7 (commencing with Section 69430) of Part 42 of Division 5.

(c) As necessary or appropriate, the bureau shall publish public guidance regarding the application of this chapter and the regulations adopted pursuant to this chapter to a public institution of higher education approved pursuant to this section. The bureau's development and publication of any such guidance is exempt from the requirements of Chapter 3.5 (commencing with Section 11340) of Part 1 of Division 3 of Title 2 of the Government Code. The bureau shall, on or before July 1, 2024, amend any regulations that conflict with this section.

Added by Stats. 2022, Ch. 544, §19. (SB 1433)

ARTICLE 21. Termination

Article 21 Added by Stats. 2009, Ch. 310, §6. (AB 48)

94950. Inoperative Date

This chapter shall remain in effect only until January 1, 2027, and as of that date is repealed.

Added by Stats. 2009, Ch. 310, §6. (AB 48)

Amended by Stats. 2010, Ch. 695, §50. (SB 294)

Amended by Stats. 2014, Ch. 840, §41. (SB 1247)

Amended by Stats. 2016, Ch. 593, §28. (SB 1192)

Amended by Stats. 2021, Ch. 552, §11. (SB 802)

Amended by Stats. 2022, Ch. 544, §20. (SB 1433)

